

# Global Rates Weekly

## Bonds falling, autumn calling

### The View: Bonds on sale this September

Policy support favors long-end JGBs and USTs, while US payrolls and inflation data will shape the rates outlook. US policy steps helped USTs outperform, while the BoJ, RBA and BoC delivered or signaled more hawkish policy.

— S. Salim

### Rates: End of summer bond blues

US: Hawkish Fed repricing, policy skepticism and weak long-end demand drove yields higher. Soft data = clearest reversal catalyst; we stay long 5Y USTs & 5s30s steepener.

EU: We expect the ECB to hike and keep a hiking bias, but it might not outhawk market pricing. We close our short EUR front-end vs UK and enter a receive 1y2y OIS vs AU.

UK: We close SFIH7/ERH7 narrower, with relative outlook more mixed. We expect DMO to knock a year off issuance WAM in Q4, reducing risk delivery by 18%.

AU: We now see Sep RBA hike and like paying Sep RBA as well as short 1y2y AUD vs EUR. We close semi ASW trades, H7/H8 flattener and stop out of 10y long.

JP: FY27 budget requests reach record ¥143tn: JGB issuance risks rise, but long-end supply increase likely avoided. We stay long 30-year ASW and short 6m1y payer 1x2s.

CA: BoC held at 2.25% with a modest hawkish tilt as upside inflation risks increased on higher oil prices. CAD rates higher, driven by front-end repricing.

— M. Cabana, M. Swiber, B. Braizinha, R. Axel, K. Craig, E. Xiao, S. Salim, A. Stengeryte, E. Davidsson, M. Capleton, O. Levingston, I. Hartstein, & T. Yamashita

### Inflation: Peak district

US: We reiterate our long linkers versus swaps on a forward starting basis. We now add a received 2035-to-'38 forward real yield at 2.32%. We think we may be near the top.

### Volatility: Pennies, steamrollers & buybacks

US: A richer event calendar should support vol near term. We favor receiver calendars, short left vs right-side vol, and back-end bear steepeners.

JP: A hawkish BoJ repricing should flatten curve and support higher vol, led by left side of the grid. We favor: 2s10s bear flatteners, long left vs right side, short 6m1y payer 1x2.

### Technical: The setup into US data favors paying US 2Y

US data may provide a chance to pay the 2Y. A head and shoulders pattern suggests paying ~4.26% and looking higher to 4.42% / 4.53%, ideally if above 4.20/4.16%.

— P. Ciana & J. Hartley

04 September 2026

Rates Research  
Global

#### Table of Contents

|                                   |    |
|-----------------------------------|----|
| Core views, trades and forecasts  | 2  |
| The View                          | 3  |
| Rates – US                        | 4  |
| Rates – EU                        | 6  |
| Rates – UK                        | 8  |
| Rates – AU                        | 10 |
| Rates – JP                        | 12 |
| Rates – CA                        | 14 |
| Inflation – UK                    | 16 |
| Volatility – US                   | 18 |
| Volatility – AU                   | 19 |
| Volatility – JP                   | 21 |
| Technical                         | 22 |
| Rates Alpha trade recommendations | 23 |
| Global rates forecasts            | 27 |
| Appendix: Common acronyms         | 28 |
| Research Analysts                 | 33 |

Global Rates Research  
MLI (UK)

Ralf Preusser, CFA  
Rates Strategist  
MLI (UK)  
[ralf.preusser@bofa.com](mailto:ralf.preusser@bofa.com)

Mark Cabana, CFA  
Rates Strategist  
BofAS  
[mark.cabana@bofa.com](mailto:mark.cabana@bofa.com)

Sphia Salim  
Rates Strategist  
MLI (UK)  
[sphia.salim@bofa.com](mailto:sphia.salim@bofa.com)

See Team Page for List of Analysts

Trading ideas and investment strategies discussed herein may give rise to significant risk and are not suitable for all investors. Investors should have experience in relevant markets and the financial resources to absorb any losses arising from applying these ideas or strategies.

**BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.**

Refer to important disclosures on page 30 to 32. Analyst Certification on page 29. 13015174

# Core views, trades and forecasts

## Exhibit 1: Global rates trade quilt

Views / trades in bold when changed / entered this week

|           | US                                                 | EU                                                       | UK                                                                    | CA                                 | JP                                       | AU                                                             |
|-----------|----------------------------------------------------|----------------------------------------------------------|-----------------------------------------------------------------------|------------------------------------|------------------------------------------|----------------------------------------------------------------|
| Duration  | Long 5y UST<br><b>Close pay Jan FOMC</b>           | Short front-end vs UK                                    | Long front-end vs EUR                                                 | Long bias<br>U6-M7 CORRA flattener | Bullish long-end bias                    | <b>Pay Sep RBA OIS, short 2y1y vs EUR, Close long 10y ACGB</b> |
| Curve     | 5s30s steepener                                    | 2s10s flattener in options                               | <b>Steeper 2y-10y in Gilts</b><br>15y-20y flattener                   | Steepening bias                    | Neutral                                  | Flattening bias                                                |
| Bases     | Long Dec26 SOFR/FF                                 | <b>Jun27 IMM 2y Euribor-€str widener</b>                 | Sonia cheaper vs. Bank                                                | CORRA cheaper vs deposit rate      | TONA below IOER                          | Pay 2y 6s3s                                                    |
| Inflation | Real yield curve flattener<br>Long 5y5y infl. swap | Long 1y5y EURi/sell payers<br>Receive forward real rates | Short 10y5y RPI vs US<br>Receive UKTI 31s-38s forward yield vs. swaps |                                    |                                          |                                                                |
| Spreads   | Long 2Y ASW<br><b>Long 30y ASW</b>                 | Short 10y German bonds vs swaps                          | Long low cpn 2y & 7y Gilts on Z-spread                                | Short front-end spreads vs US      | Long 30Y ASW                             | <b>Close long NSWTC '27 and QTC '37 on ASW</b>                 |
| Vol       | Long fwd vol, 10s flatteners                       | Long fwd vol via rec calendars                           |                                                                       |                                    | Vol supported, Sell front-end payers 1x2 | Vol underperforming 6m1y risk reversals                        |

Source: BofA Global Research. Note: Red = short / steeper / tighter funding, green = long / flatter / looser funding, yellow = mixed, grey = neutral or n/a. Lighter shades = bias, darker shades = trade.

BofA GLOBAL RESEARCH

## Exhibit 2: Rationale behind medium-term views

Global views

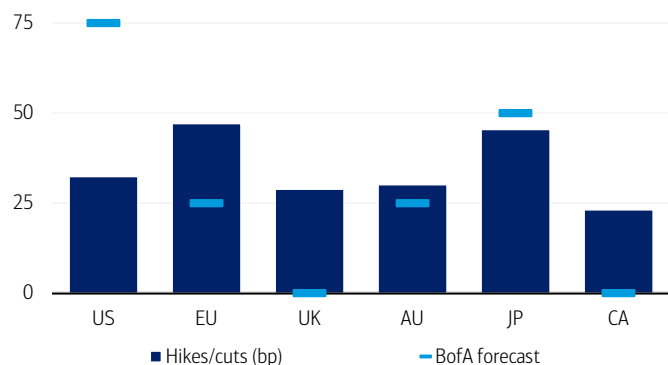
|                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>CBs</b>       | <b>US:</b> Fed to hike 75bp from Sep-Dec '26; <b>EU:</b> We expect one more hike in Sep '26, but cuts from 1H27; <b>UK:</b> No longer expecting hikes in 2026; <b>JP:</b> We expect the next rate hike at the September MPM; <b>AU:</b> RBA to hike in Sep, possible follow-up in Nov <b>CA:</b> BoC on hold for '26 with risk priced for hikes                                                                                                                                                                                                                             |
| <b>Duration</b>  | <b>US:</b> Long 5y UST since US data suggest disinflation & less pressure on Fed to hike; <b>EU:</b> Short front-end vs UK; <b>UK:</b> Neutral with 10y forecast for YE26 close to spot, at 5%; <b>JP:</b> We maintain a long-duration bias at the long-end, supported by structural demand from life insurers; <b>AU:</b> pay Sep RBA OIS, short 2y1y vs EUR as RBA prepares to hike; <b>CA:</b> long bias; U6-M7 flattener as market is overpricing risk of near-term hikes                                                                                               |
| <b>Curves</b>    | <b>US:</b> Steeper 5s30s as US data points to less pressure on Fed to hike; <b>EU:</b> Curve can flatten further on higher energy prices. 2s10s biased flatter near term, with steepening from 4Q26; <b>UK:</b> Expect 2s10s steepening in Gilts; <b>JP:</b> Our view on the curve is neutral; <b>AU:</b> RBA hiking cycle not fully priced = curve flattener <b>CA:</b> Curve biased to continue steepening with BoC pause                                                                                                                                                 |
| <b>Bases</b>     | <b>US:</b> Long Dec SOFR/FF b/c of Fed asset purchases & central clearing; <b>EU:</b> wider €str-Bor on rising funding pressures as ECB continues QT; <b>UK:</b> Sonia to tighten towards Bank Rate amid transition to a repo-led reserve supply framework; <b>JP:</b> Given significant excess reserves, we expect TONA to remain slightly below the IOER; <b>AU:</b> xccy basis to tighten as super fund hedging programs expand, BOB/ 6s3s to remain tight on RBA QT; <b>CA:</b> CORRA to move higher in '26                                                             |
| <b>Inflation</b> | <b>US:</b> 1y1y vs 1y9y synthetic real yield curve flattener to trade lower front-end infl fwds + flatter nominal curve, long 5y5y infl swap due to Fed credibility risk; <b>EU:</b> Forward real rates look too high in context of subdued forward inflation pricing. Summer supply/demand pattern to be supportive of long-end real yields; <b>UK:</b> History justifies narrower 10y5y RPI vs US CPI, and greater WAM shortening in nominals than linkers (which we expect) should help. Forward yield from UKTI 2031s->38s too cheap vs. swaps.                         |
| <b>Spreads</b>   | <b>US:</b> Long 2Y ASW with favorable carry & long 30y ASW as buybacks richen UST vs swaps; <b>EU:</b> Short 10y GE bonds vs swaps, favor SP over PO, GR over IT, and FI over AT in EGB space; <b>UK:</b> Fiscal and political risks can cheapen Gilts vs swaps. We are only long low coupon Gilts vs swaps in 2y & 7y; <b>JP:</b> 30-year JGBs on ASW look attractive amid solid demand & easing supply concerns; <b>AU:</b> tighter semi and ACGB ASW spreads as offshore demand outpaces supply. <b>CA:</b> short front-end spreads vs US on tighter funding conditions. |
| <b>Vol</b>       | <b>US:</b> vol range '26: 1y10y 75-85bp; 1y10y vs 1m10y spread fair c.5bp (±5bp), long fwd vol bias; <b>EU:</b> vol range '26: 1y10y c.55.65bp, vol normalizing, short left vs right; <b>JP:</b> vol range '26: 1y10y c.60.70bp, vol supported by hawkish BoJ, hedge potential hawkish shift with short frontend 1x2 ; <b>AU:</b> vol range '26: 1y10y c.70-80bp, vol likely to underperform with scope for left to lead.                                                                                                                                                   |

Source: BofA Global Research

BofA GLOBAL RESEARCH

## Exhibit 3: Pricing of hikes by YE26 (as of 3 Sep) vs BofA forecasts

BofA forecasts are only more hawkish in US vs market pricing



Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

## Exhibit 4: BofA forecasts for central bank policy rates & 10y yields

We provide forecasts up to YE27

|    | % EoP         | 2024  | 2025  | Q3 26 | YE 26 | Q1 27 | YE 27 |
|----|---------------|-------|-------|-------|-------|-------|-------|
| US | Fed Funds     | 4.375 | 3.625 | 3.875 | 4.375 | 4.375 | 4.375 |
|    | 10y USTs      | 4.57  | 4.17  | 4.50  | 4.50  | 4.50  | 4.50  |
| EU | ECB refi rate | 3.15  | 2.15  | 2.65  | 2.65  | 2.65  | 2.15  |
|    | 10y Bunds     | 2.36  | 2.85  | 2.90  | 2.90  | 2.75  | 2.60  |
| JP | BoJ           | 0.25  | 0.75  | 1.25  | 1.50  | 1.75  | 2.00  |
|    | 10y JGBs      | 1.09  | 2.06  | 2.90  | 3.00  | 3.10  | 3.05  |
| UK | BoE base rate | 4.75  | 3.75  | 3.75  | 3.75  | 3.75  | 3.50  |
|    | 10y Gilts     | 4.56  | 4.48  | 5.00  | 5.00  | 4.85  | 4.50  |
| AU | RBA cash rate | 4.35  | 3.60  | 4.60  | 4.60  | 4.60  | 4.10  |
|    | 10y ACGBs     | 4.36  | 4.74  | 4.80  | 4.75  | 4.75  | 4.65  |
| CA | Corra         | 2.25  | 2.25  | 2.25  | 2.25  | 2.25  | 2.25  |
|    | 10y Canada    | 3.22  | 3.43  | 3.45  | 3.50  | 3.55  | 3.70  |

Source: BofA Global Research

BofA GLOBAL RESEARCH



# The View

**Sphia Salim**  
MLI (UK)

## What we are watching

We are watching the global bond selloff that has intensified over the past two weeks. One trigger for the build-up in term premia in the back-end was the July FOMC meeting, while the rise in energy prices also added to bearish pressures in the front-end. Regions where the two combined saw generalized sell-offs (eg GE, CA & UK, Exhibit 5).

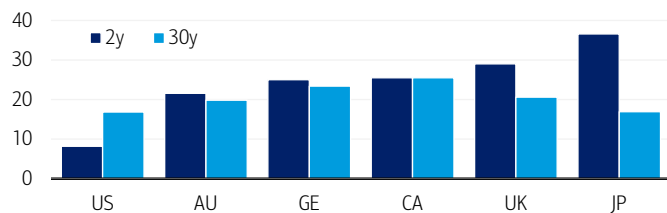
As 10-30y govt yields are around multi-decade highs across most DMs, the two key questions are what can tame the sell-off, and which market would be the best buy here? While oil and general fixed income supply can continue to put upward pressure on yields, we believe policy action is most supportive to 30y JGBs & USTs on asset swap. The hawkish shift adopted by the BoJ, together with prospects of increased GPIF buying should help the curve flatten and tame long-end JGB rates vol, favoring the build up of longs at those higher yield levels, as seen at the 10y auction this week (Rates – JP). In the US, the announcement of higher buyback operations, combined with a clearer FOMC messaging have already helped somewhat but we believe the buyback effect may still be underpriced. The first larger operation on Sep 9<sup>th</sup> will be key (Rates – US).

Inflation & labor data surprises have softened in the US, which prompted us to shift from short 2y to long 5y USTs on Aug 14. We see today's payrolls risk as modestly asymmetric: a weaker report would likely have a larger market impact than a stronger one ([Aug labor report](#)). Our economists still expect a Sep hike, but inflation data next week is key, esp. after Waller's dovish speech. Technicals suggest paying on a rally in 2yT yields to 4.26%, with a target of 4.42% if yields remain above 4.2% (Technical).

In the Euro Area, the higher yields in July had already attracted good demand, leading to a flattening of EGB curves. Appetite may therefore be more limited until the pressure stemming from the front-end can reduce. UK and EUR front-ends remain most sensitive to energy prices. Now, with the ECB having been ahead of the curve relative to other central banks, financial conditions being very tight (Inflation – UK), and OAT yields so elevated, it is becoming uncertain to us whether the ECB can continue to endorse the hawkish market pricing even as energy prices stay high. Ahead of next week's meeting where a 25bp hike is already baked in, we close our short EUR front-end vs UK and scale into (protected) longs with a received 1y2y in €str OIS vs AU (Rates – EU).

### Exhibit 5: Changes in 2y and 30y govt bond yields since Jul 28<sup>th</sup> (\*)

Even as bearish impulse came from the US, USTs managed to outperform

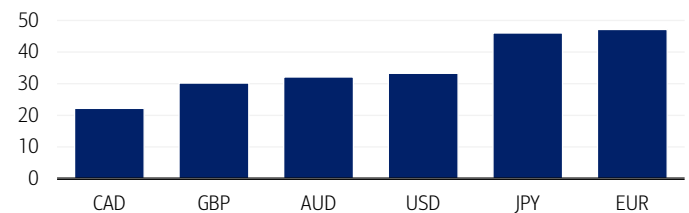


Source: Bloomberg. (\*) Jul 28<sup>th</sup> = just before July FOMC meeting

BofA GLOBAL RESEARCH

### Exhibit 6: Market pricing of additional rate hikes by YE26

It is still in EUR that we pricing the most hikes into year-end (c.47bp).



Source: Bloomberg

BofA GLOBAL RESEARCH

## What we learned

US policymakers took steps to try to limit the rise in long end yields (higher buybacks & clearer/hawkish Warsh at Jackson Hole). This can explain the net outperformance of US yields vs other DMs in Exhibit 5. Our econ team changed their calls on the BoJ and RBA, expecting a hike from both CBs this month, followed by a faster pace of hikes by the BoJ (to a higher terminal rate of 2%). We are paid Sep RBA and short 6m1y 1x2 payers in Japan. The BoC surprised with a hawkish message this week, steepening the money market curve (Rates – CA). Our economists still see it on hold due to the US trade war.



# Rates – US

**Mark Cabana, CFA**  
BofAS

**Meghan Swiber, CFA**  
BofAS

**Bruno Braizinha, CFA**  
BofAS

**Ralph Axel**  
BofAS

**Katie Craig**  
BofAS

**Eleanor Xiao**  
BofAS

- Hawkish Fed repricing, policy skepticism, and weak long-end demand have driven yields sharply higher
- Softer data and/ or equity market correction are the clearest catalysts for reversal; we favor long 5Y USTs and 5s30s steepeners.

## End of summer bond blues

Since our last weekly, the US rates curve has bear flattened, driven by Warsh's more hawkish tone at Jackson Hole and Bessent's surprise decision to raise the maximum size of 10y+ buybacks. Major macro data have been sparse, leaving markets focused on today's August payrolls report and next week's inflation data.

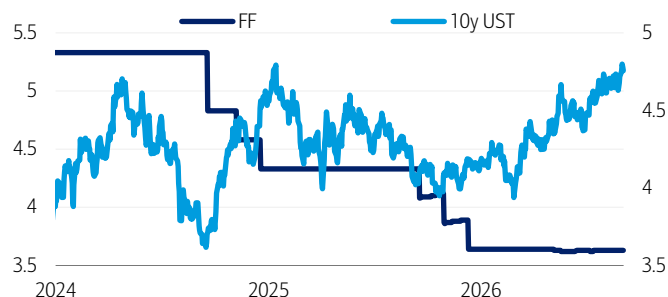
Our US Econ team expects a seasonally soft payrolls print (40k, private 35k) below consensus (55k, private 50k) and an unchanged unemployment rate (4.1%). Alongside next week's inflation data, they see the path cleared for a Sep hike. We see payrolls risk as modestly asymmetric: a weaker report would likely have a larger market impact than a stronger one. For detail see: [Aug labor report: only the warm up](#).

Below we address questions we've been asked most often this week: what's driving yields higher and what stops the selloff. We remain cautious on long-end duration and continue to favor 5s30s steepeners. If payrolls and next week's inflation data come in soft, the belly has room to rally, but we expect the long end to lag. We continue to hold a long position in 5y UST which would be supported by softer data & short positioning. Both steepener & 5y long are consistent with moderation in economic data surprises.

Our other core US rate views: **inflation** = 1y1y vs 1y9y RY flattener, long 5y5y inflation swaps; **spreads** = long 2y & 30y ASW; **funding** = long Dec '26 SOFR/FF; **vol** = 6m1y payer ladders, short 1y1y vs 1y10y vol, 2s10s floor ladders, 15m1y vs 3m1y receiver calendars & 5s30s cap spreads & bear steepeners.

### Exhibit 7: 10y yields at highest level since FF was above 5%

FF vs 10y UST (%) since 2024, 10y UST on RHS axis

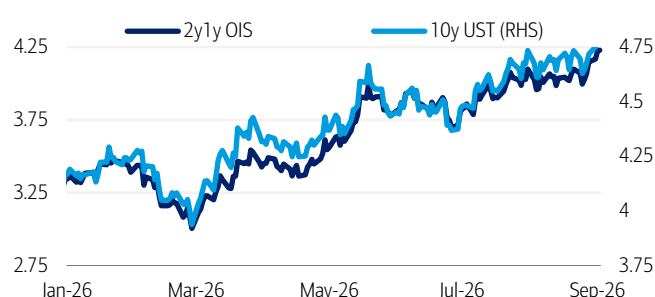


Source: Bloomberg

BofA GLOBAL RESEARCH

### Exhibit 8: 2y1y OIS & 10y UST have moved in lockstep (%)

10y rates increase vs expectations for higher fed funds rate in 2y time



Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

## What's driving the rate selloff?

Clients continue to ask what's driving the selloff and what could reverse it. Despite Treasury's larger buyback program, 30y yields remain near recent highs and 10y yields are at their highest levels since FF was above 4% (Exhibit 7). We see three key drivers:

**1. Policy expectations:** The rise in 10y yields since Feb has largely been in real rates and tracked higher market pricing for the fed funds rate two years forward (Exhibit 8).



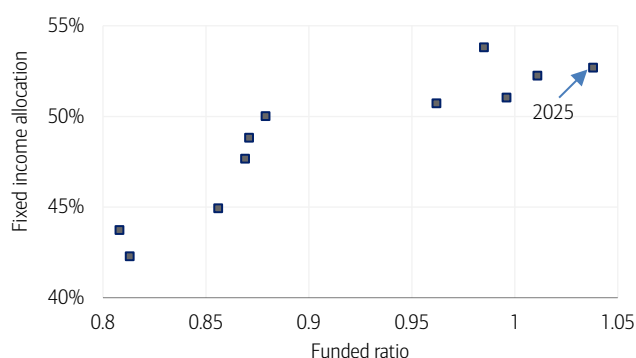
Markets have moved from pricing cuts to pricing hikes. Labor market resilience has shifted focus of the Fed's dual mandate back toward inflation alongside Warsh putting hikes on the table and emphasizing the Fed's commitment to restoring 2% inflation.

**2. Policy uncertainty:** While Warsh's Jackson Hole remarks reinforced the Fed's inflation credibility, clients appear unconvinced that hawkish rhetoric will translate into equally hawkish policy. Similarly, Bessent's larger buyback program has done little to bring buyers back to the Treasury market. Asset managers have reduced longs, active bond funds remain underweight duration, and foreign official investors continue to sell Treasuries (see: [Policy Support, Investor Skepticism](#)). Treasury could eventually lean on issuance changes to help stabilize the long end, but the November refunding remains weeks away and any meaningful action would challenge its long-standing regular and predictable issuance framework.

**3. Structural supply-demand pressures:** Long-end demand remains structurally weaker than in prior cycles. Private DB pension funds represent a smaller share of the liability universe and funded-status improvements have generated limited de-risking demand (Exhibit 9). At the same time, USTs are competing with elevated investment-grade issuance, particularly from large technology issuers at long maturities. Recent fund flows and positioning point to a clear investor preference for spread product over duration (see: [Supply & UST rates](#)), while expectations for heavy seasonal IG issuance next week (Exhibit 10) are likely contributing to the concession in rates and spreads.

**Exhibit 9: Milliman DB private pension fixed income allocation vs funded ratio**

De-risking has tapered off with funded ratio  $\geq 1$

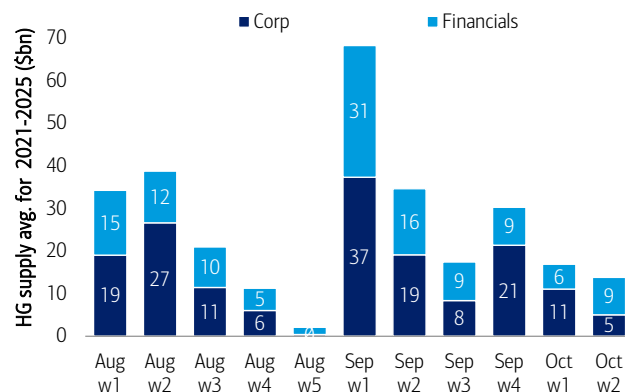


Source: BofA Global Research, Milliman Corporate Pension Study, data since 2015

BofA GLOBAL RESEARCH

**Exhibit 10: Weekly supply seasonality weekly**

Supply slows into late August before heavy supply in September.



Source: Bloomberg, BofA Global Research, from [IG Credit Strategist, 7 August 2026](#)

BofA GLOBAL RESEARCH

## What likely stops the selloff?

In the absence of a material shift in fiscal policy, we see two credible catalysts: weaker data or significant equity selloff. A softer growth and inflation backdrop would likely reduce pricing for hikes and support duration, particularly in the belly. Alternatively, a >10-15% equity correction could tighten financial conditions enough to increase odds of a Fed on hold. A sustainable decline in oil prices might also be helpful on the margin.

Treasury policy changes alone are unlikely to deliver a lasting reversal. While long-end issuance cuts could trigger a knee-jerk rally, we continue to prefer expressing that view through long 30y ASW and 20y fly positions rather than outright duration exposure (see: [UST supply cut scenarios](#)). If the Fed ultimately does not deliver a September hike despite data that justify it, we think the long-end selloff has further room to run.

**Bottom line:** Hawkish Fed repricing, policy skepticism, and weak long-end demand have driven the selloff. We think softer data or a meaningful equity correction are the most likely catalysts for a reversal. We remain cautious on long-end duration, favoring long 5Y USTs on a softer data outcome and 5s30s steepeners.



## Rates – EU

**Sphia Salim**  
MLI (UK)

**Ruben Segura-Cayuela**  
BofA Europe (Madrid)

**Evelyn Herrmann**  
BofASE (France)

**Edvard Davidsson**  
MLI (UK)

**Agne Stengeryte, CFA**  
MLI (UK)

**Oliver Levingston**  
Merrill Lynch (Hong Kong)

- We expect the ECB to hike next week and maintain a hiking bias in given the continued upside pressure on energy prices. Risks of a Dec hike are up. But the bar for downward inflation surprises is low. We still think they're done after Sep.
- The market on the other hand prices 2 other hikes (one by Dec, other in 1H27), with 2y3y €str at above 3%, 10y GDP weighted real rates c.40bp higher than at peak ECB policy rate in Sep-23, and 30y French OAT yields nearing 5%, highest since 2004.
- We close our short EUR front-end position vs UK, and advice to start scaling into longs as the ECB may not be able / willing to out-hawk markets. We favour doing it on a cross market vs AU rates, given risks to energy prices are still to the upside.

### Sep ECB hike a done deal, with door for Dec still open ...

We expect the ECB to deliver a 25bp hike next week. With still plenty of uncertainty and mixed signals since the July meeting, the natural slope is for the ECB to deliver what's priced and included in the forecasts, at least this month. Growth has been a bit more resilient than expected, with data surprise indices moving notably higher in July, but inflation printed weaker and financial conditions are getting tighter. Hence, the mixed news provides no clear reason to deviate from the July plan and, once again, the largest innovation is the evolution of energy prices.

**We expect the new forecasts to send an implicit message that a modest hiking cycle of 2-3 total hikes is still a reasonable base case.** If based on the regular cut-off date (mid August), they should show few changes, with perhaps marginally more growth in the near term and slightly lower inflation. Given market pricing of the ECB at the cut-off date, this would leave the door open to, but not endorse, another hike down the line. A hiking bias could be reinforced by an alternative scenario from the ECB, taking on board energy price developments post cut-off date, which would show marginally higher inflation at the end-point of those forecasts (Exhibit 11).

#### Exhibit 11: Lower synthetic energy prices than in June could actually mean small downward revisions to inflation forecasts in base case of mid Aug cut-off; alternative based on Sep 1<sup>st</sup> cut off

Expected base case and potential alternative scenario that could signal a clearer Dec hike intention

|                                | HICP    |         |         | HICP ex food & energy |         |         |
|--------------------------------|---------|---------|---------|-----------------------|---------|---------|
|                                | 2026    | 2027    | 2028    | 2026                  | 2027    | 2028    |
| Jun-26 ECB staff projections   | 3       | 2.3     | 2       | 2.5                   | 2.5     | 2.2     |
| Sep-26, base (BofA est)        | 2.8-2.9 | 2.2-2.3 | 2       | 2.5                   | 2.4-2.5 | 2.1-2.2 |
| Sep-26, alternative (BofA est) | 3.0-3.1 | 2.4-2.5 | 2.0-2.1 | 2.6                   | 2.6-2.7 | 2.2-2.3 |

Source: BofA Global Research, ECB staff projections

BofA GLOBAL RESEARCH

### ... But uncertain the ECB will want to out-hawk markets

The market is not only pricing a third hike by December, but also a fourth one in 1H27. Up until now, we have been cautious on the front-end and avoided fading the hikes given the risks of still higher energy prices and an ECB appearing most focused on inflation.

However, we now see 3 factors that can limit the ECB's ability / willingness to allow the pricing of yet more hikes than currently implied;

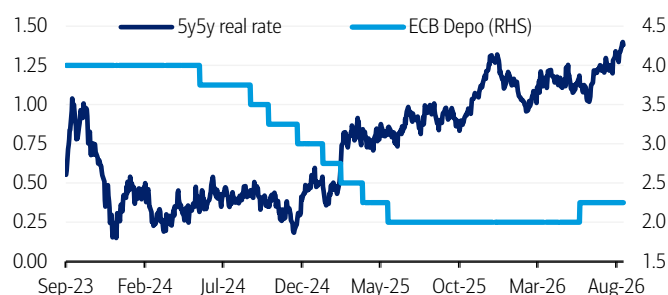




1. **There are still no signs of second-round effects:** while the energy price shock is more persistent and growth a bit more resilient, core inflation has surprised ECB forecasts to the downside, even more so in the case of core. It's hard to sound very hawkish when the shock is looking increasingly like a traditional energy price shock.
2. **Headwinds are now increasingly larger for the economy,** including the delay in consumer purchasing power recovery as gas prices move higher, and the tightening in financial conditions that is likely to weigh on corporates.
3. **The political calendar is heavy, with high OAT yields difficult to ignore.** If asked about the evolution of long-end yields, we would expect Lagarde to note that any disorderly move can be tackled with existing tools or even new ones. However, the bar for such decisions is likely extremely high. Limiting the pressure stemming from front-end rates could be a more conventional solution for the near term.

**Exhibit 12: 5y5y reals at 40bp above Sep-23 levels when ECB was 4%**

The ECB reached peak Depo in Sep-23. 5y5y real have risen despite the cuts

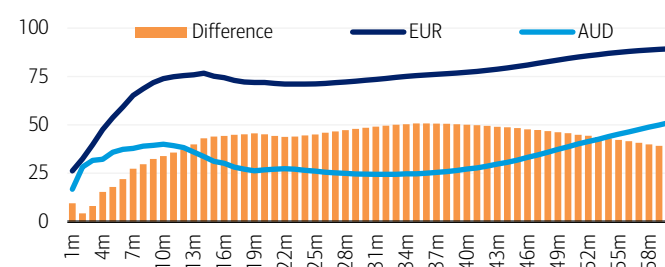


Source: Bloomberg, BofA Global Research.

BofA GLOBAL RESEARCH

**Exhibit 13: Differential in market implied policy tightening between EUR and AUD is largest between 1y and 3y forward**

Implied path of cumulative change in 1m OIS vs spot for EUR & AUD



Source: BofA Global Research

BofA GLOBAL RESEARCH

Our economists still think that the bar for more than 75bp of total hikes is quite high. Moreover, they still expect cuts in 2027 (now in Jun & Sep), bringing the ECB deposit rate to, or below, 2% by end-27. Now, for the market to start trading '27 cuts, it would first need to be certain the ECB has completed its hiking cycle, which may be too early at this stage. However, if the hikes are starting to be capped by a small shift in ECB bias, and the potential for cuts is there, we believe it can be time to scale in protected longs.

## Close short ERH7 vs SFIH7, following UK outperformance

It is in the UK and EUR that front end rates have been the most sensitive to higher energy prices. Early Aug, both markets were pricing in the same amount of tightening by Jun-27 even as EUR data started to surprise to the upside to a greater extent than in the UK and the BoE had adopted a slightly less hawkish communication since June (see [Liquid Insight: Global rates: spot the differences 03 August 2026](#)). We saw this as an opportunity for a cross-market trade, going short EUR front-end vs UK via ERH7 vs SFIH7, at 139bp on August 3<sup>rd</sup>, with a target of 120bp and a stop at 154bp.

**We now close this position, after a 10bp tightening in the spread to 129bp.** The tightening in this despite higher energy prices suggest there was greater appetite to fade the build-up of hikes in the UK front-end, with positioning therefore likely to be more long there at this stage. At the same time, it may now be the turn of the ECB to sound more cautious as it delivers another hike, while the BoE may have to recognise the greater risks around rising gas prices as it stays put at this September meeting.

## Scale into (protected) longs: receive 1y2y OIS vs AU

**We enter a receive 1y2y €str OIS position vs AU OIS, at 175bp, targeting 200bp, with stop at 160bp.** We chose AU as we have turned more hawkish on the RBA. Also, with higher gas prices a key risk to long EUR front-end, we value the positive exposure that Australia has (also on growth side) to higher gas prices. We pick 1y2y as it is where the implied policy differential is most extreme between EUR & AUD (Exhibit 13). It also provides for a c.15bp 1y roll-down. The risk is stronger data in EA than Australia.

# Rates – UK

**Agne Stengeryte, CFA**  
MLI (UK)  
agne.stengeryte@bofa.com

**Mark Capleton**  
MLI (UK)  
mark.capleton@bofa.com

- We close SFIH7/ERH7 narrower, with relative outlook more mixed. We expect DMO to knock a year off issuance WAM in Q4, reducing risk delivery by 18%.

## WAMpire slayer

The front-end led the sell-off at the start of the week, with markets adding 11bp of Bank Rate hikes by year-end and fully pricing three 25bp hikes by July 2027, reversing most of the rally that followed the US-Iran peace memorandum agreement (Exhibit 14).

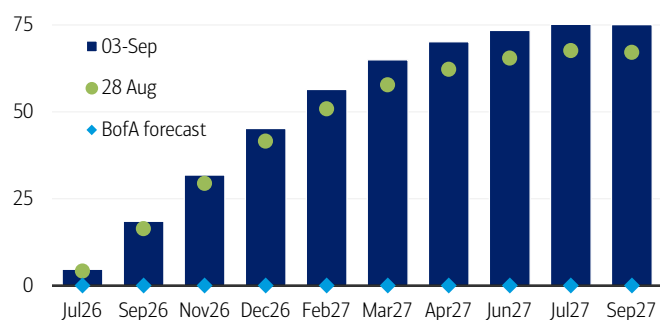
Cross-market, continued demand to fade this front-end sell-off (driven by higher oil prices) helped protect our received UK versus Euro position via SFIH7 vs ERH7 (for more, see [Long UK vs EUR front-end](#), 3 August). While our economists continue to expect Bank Rate to remain on hold through 2026, higher inflation forecasts increase upside risks to that base case (for more, see [Back to School: Waiting out the energy shock](#), 2 September). We continue to see a high bar for a September hike, but view November, December and February as live meetings. Combined with positioning, this increases the risks to our trade: **we close SFIH7 vs ERH7 today** in Rates – EU.

Further out the curve, Gilts continued to outperform Bunds and USTs but lagged Sonia (Exhibit 15). The relative weakness versus swaps may reflect concession-building ahead of next week's "modestly sized" syndicated re-opening of the 5.375% 2056 Gilt, alongside some fiscal concerns ahead of Parliament's return.

We await the August Public Sector Finances data on 22 September before finalising our Gilt Remit estimates ahead of the Autumn Statement. For now, we do not expect a significant fiscal loosening given the government's commitment to fiscal rules, but some limited flexibility within the debt rule could be used to support additional investment spending. We **maintain a 2s10s Gilt steepening bias via UKT 4.375% 2028 vs. 4.875% 2036** entered at 64bp with a target of 85bp and stop of 55bp (current: 75bp). Risk is a more hawkish BoE. For more, see [Liquid Insight](#), 11 June.

### Exhibit 14: Front-end led the GBP sell-off at the start of the week

Sonia-implied Bank Rate hike pricing vs. 28 August, and BofA forecasts (bp)

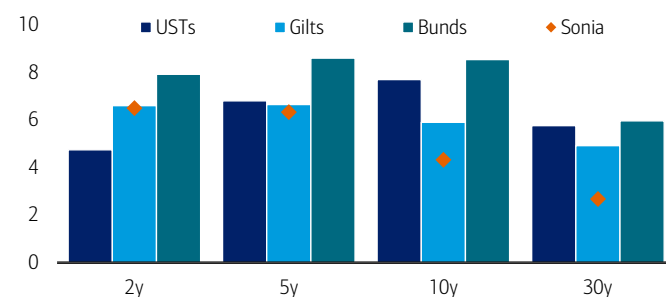


Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

### Exhibit 15: Long-end Gilts outperformed Bunds & USTs but lagged Sonia

USD, GBP and EUR bond yield changes since 28 August (bp)



Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

### Gilt supply in 4Q26: likely lower but with upside risks

Based on the latest DMO Gilt Remit and our assumptions, we estimate that the DMO Gilt issuance WAM will fall to 8.9 years in 4Q26 after jumping to 9.9 years in 3Q26. In risk terms, supply should fall to around £37mn/bp from approximately £45mn/bp, although risks to this estimate are skewed to the upside.

Our estimate assumes next week's syndicated re-opening of the 5.375% 2056 Gilt raises £5bn (in cash terms), potentially above the amount ultimately raised given the DMO's





guidance of a modestly sized transaction, and that November's index-linked syndication is a re-opening of the 1¾% 2038 index-linked Gilt raising £4.5bn. We also assume part of the remaining unallocated issuance is used to top up short- and index-linked Gilt auctions in 4Q26, both of which have raised a larger share of their fiscal-year-to-date auction funding targets than remains to be issued (Exhibit 16).

#### Exhibit 16: We estimate the DMO Gilt issuance WAM will fall to 8.9 years in 4Q26 after jumping to 9.9 years in 3Q26

Gilt supply from the DMO and BoE, with Gilt "buckets" defined as 0- to 7-year "short", 7- to 20-year "medium" and 20-year+ "long" (£bn cash)

| Cash, £bn<br>Month ending | Gilts supplied by DMO |        |      |     |       | Gilts sold by BoE - APF |        |      |     |       | DMO less BoE |        |      |     |       |
|---------------------------|-----------------------|--------|------|-----|-------|-------------------------|--------|------|-----|-------|--------------|--------|------|-----|-------|
|                           | Short                 | Medium | Long | IL  | Total | Short                   | Medium | Long | IL  | Total | Short        | Medium | Long | IL  | Total |
| 31/01/2026                | 12.4                  | 17.3   | 0.0  | 0.9 | 30.5  | 0.8                     | 0.0    | 0.7  | 0.0 | 1.5   | 13.2         | 17.3   | 0.7  | 0.9 | 32.0  |
| 28/02/2026                | 5.0                   | 9.0    | 0.3  | 0.0 | 14.3  | 0.8                     | 0.8    | 0.0  | 0.0 | 1.6   | 5.8          | 9.8    | 0.3  | 0.0 | 15.8  |
| 31/03/2026                | 7.8                   | 8.4    | 0.3  | 0.5 | 17.0  | 0.0                     | 0.8    | 0.0  | 0.0 | 0.8   | 7.8          | 9.2    | 0.3  | 0.5 | 17.8  |
| 30/04/2026                | 11.6                  | 15.0   | 0.0  | 1.1 | 27.6  | 0.0                     | 0.7    | 0.7  | 0.0 | 1.4   | 11.6         | 15.7   | 0.7  | 1.1 | 29.0  |
| 31/05/2026                | 9.5                   | 4.6    | 0.0  | 3.5 | 17.5  | 0.8                     | 0.7    | 0.0  | 0.0 | 1.5   | 10.3         | 5.3    | 0.0  | 3.5 | 19.1  |
| 30/06/2026                | 12.8                  | 17.4   | 0.0  | 1.8 | 31.9  | 0.8                     | 0.0    | 0.0  | 0.0 | 0.8   | 13.6         | 17.4   | 0.0  | 1.8 | 32.7  |
| 31/07/2026                | 11.1                  | 7.6    | 0.7  | 6.6 | 26.0  | 0.7                     | 0.6    | 0.0  | 0.0 | 1.3   | 11.8         | 8.2    | 0.7  | 6.6 | 27.4  |
| 31/08/2026                | 10.1                  | 4.0    | 0.0  | 1.8 | 16.0  | 0.7                     | 0.6    | 0.0  | 0.0 | 1.3   | 10.9         | 4.6    | 0.0  | 1.8 | 17.3  |
| 30/09/2026                | 10.9                  | 4.0    | 5.0  | 0.0 | 19.9  | 0.7                     | 0.0    | 0.0  | 0.0 | 0.7   | 11.7         | 4.0    | 5.0  | 0.0 | 20.7  |
| 31/10/2026                | 10.8                  | 4.0    | 2.1  | 3.0 | 19.9  | 0.0                     | 0.6    | 0.6  | 0.0 | 1.2   | 10.8         | 4.6    | 2.7  | 3.0 | 21.1  |
| 30/11/2026                | 5.0                   | 8.7    | 1.9  | 4.5 | 20.1  | 0.7                     | 0.6    | 0.0  | 0.0 | 1.3   | 5.7          | 9.3    | 1.9  | 4.5 | 21.4  |
| 31/12/2026                | 10.0                  | 4.0    | 0.0  | 0.0 | 14.0  | 0.7                     | 0.0    | 0.0  | 0.0 | 0.7   | 10.7         | 4.0    | 0.0  | 0.0 | 14.7  |

Source: Debt Management Office, Bank of England, BofA Global Research

BofA GLOBAL RESEARCH

#### Exhibit 17: In risk terms, supply should fall to around £37mn/bp from approximately £45mn/bp, although risks to this estimate are skewed to the upside

Gilt supply from the DMO and BoE with Gilt "buckets" defined as 0- to 7-year "short", 7- to 20-year "medium" and 20-year+ "long" (£mn/bp)

| Risk £mn/bp<br>Month ending | Gilts supplied by the DMO |        |      |     |       | Gilts sold by BoE - APF |        |      |     |       | DMO and BoE combined |        |      |     |       |
|-----------------------------|---------------------------|--------|------|-----|-------|-------------------------|--------|------|-----|-------|----------------------|--------|------|-----|-------|
|                             | Short                     | Medium | Long | IL  | Total | Short                   | Medium | Long | IL  | Total | Short                | Medium | Long | IL  | Total |
| 31/01/2026                  | 4.5                       | 14.3   | 0.0  | 0.8 | 19.6  | 0.3                     | 0.0    | 1.1  | 0.0 | 1.4   | 4.8                  | 14.3   | 1.1  | 0.8 | 21.0  |
| 28/02/2026                  | 2.1                       | 6.2    | 0.4  | 0.0 | 8.6   | 0.3                     | 1.5    | 0.0  | 0.0 | 1.8   | 2.4                  | 7.7    | 0.4  | 0.0 | 10.5  |
| 31/03/2026                  | 2.9                       | 6.5    | 0.4  | 0.9 | 10.8  | 0.0                     | 1.6    | 0.0  | 0.0 | 1.6   | 2.9                  | 8.1    | 0.4  | 0.9 | 12.4  |
| 30/04/2026                  | 4.8                       | 11.9   | 0.0  | 2.0 | 18.7  | 0.0                     | 1.5    | 1.2  | 0.0 | 2.7   | 4.8                  | 13.4   | 1.2  | 2.0 | 21.4  |
| 31/05/2026                  | 4.6                       | 3.9    | 0.0  | 2.4 | 10.9  | 0.3                     | 1.4    | 0.0  | 0.0 | 1.7   | 4.9                  | 5.3    | 0.0  | 2.4 | 12.6  |
| 30/06/2026                  | 4.2                       | 17.4   | 0.0  | 1.5 | 23.1  | 0.3                     | 0.0    | 0.0  | 0.0 | 0.3   | 4.5                  | 17.4   | 0.0  | 1.5 | 23.4  |
| 31/07/2026                  | 4.2                       | 6.0    | 1.3  | 7.6 | 19.0  | 0.2                     | 1.1    | 0.0  | 0.0 | 1.3   | 4.4                  | 7.1    | 1.3  | 7.6 | 20.3  |
| 31/08/2026                  | 5.2                       | 3.1    | 0.0  | 1.6 | 9.9   | 0.3                     | 1.1    | 0.0  | 0.0 | 1.3   | 5.5                  | 4.1    | 0.0  | 1.6 | 11.2  |
| 30/09/2026                  | 4.4                       | 3.1    | 7.1  | 1.5 | 16.1  | 0.3                     | 0.0    | 0.0  | 0.0 | 0.3   | 4.7                  | 3.1    | 7.1  | 1.5 | 16.4  |
| 31/10/2026                  | 4.3                       | 3.0    | 3.3  | 2.0 | 12.6  | 0.0                     | 1.1    | 0.0  | 0.0 | 1.1   | 4.3                  | 4.1    | 3.3  | 2.0 | 13.7  |
| 30/11/2026                  | 2.7                       | 7.5    | 2.6  | 4.8 | 17.6  | 0.3                     | 1.1    | 0.0  | 0.0 | 1.3   | 3.0                  | 8.6    | 2.6  | 4.8 | 19.0  |
| 31/12/2026                  | 3.9                       | 3.0    | 0.0  | 0.0 | 6.8   | 0.3                     | 0.0    | 0.0  | 0.0 | 0.3   | 4.1                  | 3.0    | 0.0  | 0.0 | 7.1   |

Source: Debt Management Office, Bank of England, BofA Global Research

BofA GLOBAL RESEARCH

#### A side note on Gilt demand: banking on banks

Gilt demand trends are also worth noting in light of Gilt supply outlook and the cross-market performance in the later part of this week.

This week's Bankstats report for July showed domestic banks increasing their Gilt holdings by £10bn, taking the year-to-July increase to £49bn and emerging again as the largest buyer of Gilts in year-to-July. The approaching PMRR may be one factor behind the increase in banks' Gilt holdings this year (for more, see [Gilt buying in July: strong bank and foreign demand](#), 1 September). The FSR outcome may also have provided a modest boost to banks' appetite in July at the margin (for more, see [7 July Financial Stability Report review](#), 8 July).

According to Bloomberg, retail Gilt buying also jumped amid higher yields, likely benefitting our **long UKT 1/8 2028s on z-spread position** entered at -2bp with a target of -20bp and stop of 10bp (current: -15bp). We hold onto the trade ahead of October's maturity of 0.375% Gilt. Risk to the trade is programmatic tender of the issue (for more, see [We'll take the low road, again: long UKT 0.125% 2028 on ASW](#), 21 January).

# Rates – AU

## Oliver Levingston

Merrill Lynch (Hong Kong)  
oliver.levingston@bofa.com

## Isabel Hartstein

Merrill Lynch (Australia)  
isabel.hartstein@bofa.com

- The RBA is likely hike in September after strong July CPI and Q2 GDP prints. We recommend pay Sep RBA OIS, paying 1y2y IRS vs receiving 1y2y EUR IRS.
- We close our 10y long at its stop and our H7/H8 flattener as conviction in H2 '27 RBA cuts wanes.
- We close our long NSWTC '27 an QTC '37 ASW trade recommendations after a tightening in semi-ACGB spreads.

### We expect the RBA to hike in September:

Since the strong July CPI print, our economists expect the RBA to raise the cash rate by 25bp to 4.60% at its September meeting. This week's stronger-than-expected Q2 GDP print supports the case for a near-term hike rather than waiting until November, as does the resurgence in oil prices. We continue to recommend paying Sep RBA OIS (current: 16bp, entry: 8bps, target 25bps, stop 1bp) and enter a new trade: short 1y2y AUD IRS, long EUR 1y2y IRS. Entry: 175bp, target 200bp, stop 165bp. Risk: global bond sell-off.

### Why have we added another short AU rates trade?

Investor feedback continues to remain divided on the timing and (to a lesser extent) likelihood of another RBA hike. We remain short front-end AU rates for three main reasons:

1. Even with growth around trend (albeit slightly above), productivity remains a key concern. Productivity growth was negative in the second quarter and real unit labour cost growth suggests that labour costs are rising faster than output per hour worked, a dynamic that may sustain inflationary pressure. Although softer economic activity should gradually ease capacity pressures and temper wage growth in the labour market, sticky services inflation, weak productivity and rising unit labour costs suggest upside risks to the inflation outlook. As a result, additional tightening beyond September cannot be ruled out should price pressures prove more persistent and we would not fade the current sell-off until at least 2 hikes are priced for the RBA (i.e. 50bp to terminal-rate pricing).
2. The tone of recent RBA communication suggests the Board was more likely to raise rates than the market was pricing in August, and remains prepared to raise rates if inflation proves persistent. The minutes noted that several members saw a meaningful possibility that upside inflation risks could crystallise and require further tightening. That is consistent with our view that the RBA is likely to raise rates later this month.
3. In our view, the market may be underestimating upside risks to inflation, including El Niño-related weather shocks, elevated oil prices and persistent domestic cost pressures. After successive inflationary shocks, the RBA appears less willing to look through one-off factors (like wars, weather and the global capex cycle) and even a new bout of tradable inflation could trigger additional tightening.

### What about the housing downturn?

The key downside risk to our hawkish RBA view is a negative wealth effect from falling home values. House prices are falling across most of the country and Australians are highly levered, primarily (>90% outstanding) in floating-rate mortgages. If housing weakness translates into a sharper slowdown in consumption, inflation pressures would



likely fade more quickly. Yet last week's ABS household spending indicator and this week's GDP report indicated household spending remains solid.

### Close H7/H8 flattener

In our view, the RBA is likely to hike 25bp in September following the July CPI print, and further hikes cannot be ruled out. Our H7/H8 flattener underperformed this week as investors stopped out of hedges on short RBA dates. Our conviction in flatteners (and 2027 RBA cuts) has waned and we close the trade at -11bp (entry -12bp, target -20bp).

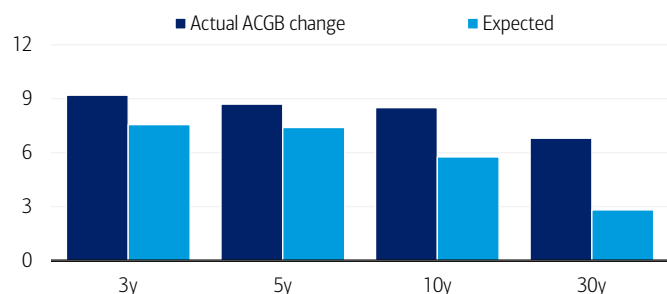
### AU rates underperform amid global bond sell-off

ACGB yields have increased amid a global bond sell-off, higher oil prices and a more hawkish repricing for the RBA. Over the past week, 3-year ACGB yields have risen 9bp, while 30-year yields are up around 7bp. These moves are larger than would typically be implied by the recent relationship between ACGB and UST yields. See Exhibit 18. While the front-end sell-off is consistent with RBA repricing, the move at the long end is more surprising given Australia's relatively strong fiscal position compared with its G10 peers.

The beta of weekly changes in ACGB yields to UST yields is now quite similar across the curve as the betas for the 10-year and 30-year sectors has declined the past few years. Exhibit 19. This suggests this week's move was more about a shift higher in market pricing of the absolute level of rates, rather than the curve. We would therefore be reluctant to enter a new long until we are confident RBA hikes are fully priced.

#### Exhibit 18: ACGBs have underperformed USTs over the past week

ACGB yield shift (bps) over past week vs US-implied-beta (bp)

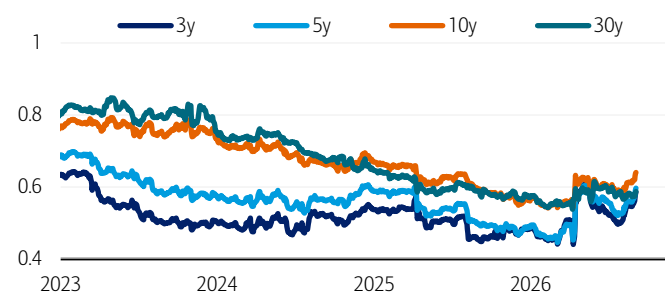


Source: Bloomberg; BofA Global Research

BofA GLOBAL RESEARCH

#### Exhibit 19: Beta of ACGBs to USTs has increased since March

12m rolling beta of weekly ACGB yield changes to UST yield changes



Source: Bloomberg; BofA Global Research

BofA GLOBAL RESEARCH

### We close our AU 10y and NSWTC '27 and QTC '37 on matched maturity swap

We close our long AU 10y trade at its stop (entry: 4.88%, target: 4.30%, stop: 5.15%). While we remain constructive on Australian duration over the medium term, reflecting our view that the neutral cash rate is closer to 4% and that the RBA will begin easing next year, persistent domestic core inflation and the sensitivity of ACGB yields to global bond market moves have proven significant headwinds over the past year.

### Close NSWTC May 2027 on matched-maturity swap

We also close our NSWTC May 2027 on matched maturity swap at 9bp (entry: 10bp, target: 2bp, stop: 14bp). Although we added this trade on expectation the RBA would announce a change to the ES remuneration rate (supporting demand for short-dated semis), strong demand for AU paper once again pushed semi-ACGB and asset-swap spreads tighter. Without an obvious catalyst for further tightening, we close the trade.

### Close long QTC 2037 on matched-maturity swap

At the other end of the semi ASW curve, strong offshore demand for long-dated semis, has supported QTC 2037 vs swap. We are now more concerned about the effect of rising yields on global credit conditions, which are an important driver of semi-ACGB spreads. After the tightening in semi-ACGB spreads and a headline-grabbing sell-off in global duration, the risk to buying QTC bonds on ASW are now more symmetric and we close the trade at 60bp (entry: 63bp; target: 55bp; stop: 68bp).

# Rates – JP

**Tomonobu Yamashita**

BofAS Japan

[tomonobu.yamashita@bofa.com](mailto:tomonobu.yamashita@bofa.com)

- FY2027 budget requests reach record ¥143tn: JGB issuance risks rise, but long-end supply increase likely avoided.
- We continue to recommend long 30-year ASW and short 6m1y payer 1x2s.

This is an excerpt of [More JGB supply, not more long-end supply, 3 Sept 2026](#)

## More JGB supply, not more long-end supply

The 10-year JGB yield rose above 3% on September 1 amid growing concerns that a Takaichi administration's expansionary fiscal policy could lead to increased JGB issuance. Judging from the FY2027 budget requests currently being reported, the market appears to be pricing in a greater risk of additional JGB supply. We nevertheless expect increase in issuance to be concentrated in shorter maturities, limiting upward pressure on the long-end. Moreover, while MoF buybacks of off-the-run issues appear unlikely through end-2026, speculation over potential asset allocation changes by Japanese public pension funds remains supportive of the long-end.

### After budget requests, focus moves to JGB supply

Government ministries submitted their FY2027 budget requests by August 31. According to media reports, the total amount of requested spending is expected to reach around ¥143tn, an increase from the more than ¥130tn reported as of August 26. That said, the expansion in budget requests itself is unlikely to come as a major surprise to the market, given that the combined size of the FY2025 supplementary budget and the FY2026 initial budget under the Takaichi administration had already reached roughly ¥140.6tn. Moreover, Prime Minister Takaichi has emphasized a fiscal management approach that formulates supplementary and initial budgets in an integrated manner.

Looking ahead, the Ministry of Finance is expected to publish an overview of the budget requests in early September. Following the budget screening process, the FY2027 initial budget draft will likely be approved by the Cabinet in late December. The Ministry of Finance is then expected to release the FY2027 JGB issuance plan shortly thereafter. As a result, market attention is gradually shifting away from the direction of fiscal policy itself toward the question of how additional spending will be financed. In particular, investors will focus on whether JGB issuance targeted at institutional investors is increased and, if so, by how much and at which maturities.

### Fiscal expansion implies higher financing needs

The extent of increase in JGB issuance will depend largely on how much the Ministry of Finance can restrain issuance of refunding bonds and Fiscal Investment and Loan Program (FILP) bonds. By issuance volume, refunding bonds, newly Issued bonds (construction bonds and deficit-financing bonds), and FILP bonds account for the largest shares. Among these, the Asahi Shimbun reported on August 28 that the government is considering setting FY2027 issuance of newly issued bonds at around ¥40tn.

Looking at issuance by legal grounds, other categories, such as reconstruction bonds and children special bonds, account for only a limited share of overall issuance. As a result, the market impact will depend primarily on the extent to which planned issuance of refunding bonds and FILP bonds can be restrained relative to their FY2026 post-supplementary levels of ¥135.8tn and ¥13.0tn, respectively. While uncertainty remains high, we assume refunding bond issuance will increase by around ¥2tn from the FY2026 post-supplementary level, while FILP bond issuance will remain broadly unchanged. This



assumption reflects the fact that JGB redemptions in FY2027 are expected to increase by roughly ¥2.7tn from the previous fiscal year and that planned FILP bond issuance has generally remained within a ¥10-13tn range since the pandemic.

Under these assumptions, if issuance of newly issued bonds reaches ¥40tn as reported, financing through additional government bond issuance would be required for approximately ¥9tn. This consists of the ¥7.3tn increase from the FY2026 post-supplementary level of ¥32.7tn in newly issued bond issuance, plus roughly ¥2tn of additional refunding bond issuance.

### **Roughly ¥5tn of additional supply for the market**

Looking at financing methods, sales for households are likely to increase from the FY2026 post-supplementary level of ¥5.9tn, supported by the Bank of Japan's rate hikes and the resulting improvement in the attractiveness of retail JGB products. Based on the recent pace of issuance, it is reasonable to assume that around ¥4tn of additional financing in FY2027 could be absorbed through increased sales of JGBs to retail investors.

Another important factor affecting JGB market issuance, namely issuance targeted at institutional investors, is the adjustment between fiscal years (front-loaded issuance). While this item has shown considerable year-to-year volatility and is inherently difficult to forecast, we assume a further ¥0.5tn increase from the FY2026 post-supplementary level of ¥4.3tn.

Under these assumptions, financing needs would increase by a total of ¥9.3tn, reflecting a ¥7.3tn rise in newly issued bond issuance and a ¥2tn increase in refunding bond issuance. Roughly ¥4.5tn could be absorbed through higher sales to households (+¥4.0tn) and a larger adjustment between fiscal years (+¥0.5tn). As a result, additional issuance targeted at institutional investors, equivalent to an increase in JGB market issuance, would amount to approximately ¥5tn.

While this estimate is subject to considerable uncertainty, we believe an increase in issuance of this magnitude would likely be concentrated in maturities of five years and shorter. In particular, we expect the increase to be absorbed primarily through short- and medium-term tenors, avoiding additional long-end issuance. Under this scenario, the planned issuance size per auction of both 2-year and 5-year JGBs could rise by around ¥0.2tn each. This view is consistent with the WAM shortening implemented in FY2025.

### **Trade recommendations**

As discussed above, while buybacks of off-the-run JGBs appear unlikely at least through end-2026, the limited likelihood of increased long-end issuance and growing speculation that Japanese public pension funds may adjust their asset allocations are providing support for the long end. Against this backdrop, we continue to recommend long 30-year ASW (current level: 45bp, see our note [Global Rates Weekly: A break in the heat 14 August 2026](#)).

At the same time, we continue to recommend selling 6m1y payer 1x2s based on our Japan economist's relatively hawkish Bank of Japan policy outlook (current level: 0bp; target level: 30bp; downside cost: -15bp). See our note [Rates Vol Watch: JP vol – Hawkish BoJ underpriced 2026-09-01](#).



# Rates – CA

**Katie Craig**  
BofAS  
[katie.craig@bofa.com](mailto:katie.craig@bofa.com)

**Ralph Axel**  
BofAS  
[ralph.axel@bofa.com](mailto:ralph.axel@bofa.com)

**Carlos Capistran**  
BofAS  
[carlos.capistran@bofa.com](mailto:carlos.capistran@bofa.com)

- BoC held at 2.25% with a modest hawkish tilt as upside inflation risks increased on higher oil prices.
- We still expect a prolonged hold as trade uncertainty caps growth, but risks now skew to the upside, particularly for 2027.
- CAD rates are higher, driven by front-end repricing.

This is a recap of [Canada Watch. 2 September 2026](#)

## The BoC maintains hold at 2.25%

The BoC held its policy rate at 2.25% (E: 2.25%, BofA: 2.25%) at its Sept 2 meeting, in line with our expectations (see our [BoC preview](#)). This marks the seventh consecutive hold since December. The BoC highlighted rising inflation risks from persistently high oil prices, while noting that new US tariffs have added uncertainty to the growth outlook.

## BoC sees higher inflation risks...

The statement and press release flagged increasing upside risks to inflation, mostly from higher and potentially more persistent oil prices tied to the ongoing Middle East conflict, but also from a further escalation of the US-Canada trade war. While the BoC does not yet see evidence of higher oil prices spilling over into other goods and services, it is concerned that a prolonged period of elevated oil prices could turn into more persistent inflation. Inflation currently sits at 3%, with core at 2% (see [Canada Watch](#)). Our forecasts have inflation reaching 3.2% in 2H 2026 with core near 2%, but we agree that upside risks to the inflation outlook have increased.

## ... but more uncertain growth prospects

The Canadian economy rebounded sharply in 2Q, in line with BoC expectations. However, the recent escalation of the US-Canada trade war “make[s] growth prospects more uncertain” and “pose[s] risks to the sustainability of the rebound in economic activity.” In our view, while the direct impact of higher tariffs is likely limited given the narrow export coverage, the larger concern is that prolonged trade uncertainty weighs on investment, hiring, and confidence, while making a USMCA renewal more difficult (see [Trade shock caps recovery, puts hikes further out of reach](#)).

## BoC on hold for an extended period

We continue to expect the BoC to remain on hold at 2.25% for the rest of this year and into next. Despite higher upside inflation risks, we believe the trade shock caps the recovery and puts hikes further out of reach. With uncertainty lingering and core inflation close to 2%, we think the central bank will continue to look through tariff- and oil-driven pressure on headline inflation. That said, with the BoC flagging increasing upside risks to inflation, we now see the balance of risks to our call as skewed to the upside, particularly for next year.





## CA rates sold off on hawkish statement language

Despite the in-line decision, markets perceived the BoC statement as hawkish. As a result, CA rates sold off, driven by the front-end. The curve flattened as markets repriced risk of higher near-term inflation. Market pricing of BoC hikes in '26 rose from 61bp priced to a high of 95bp before partially retracing back down to 85bp priced, as of this writing. The market now prices in nearly 3.5 hikes by July 2027 in CA vs 2.5bp in the US. We continue to believe the market overprices the near-term risk of a BoC hike given stable core inflation and downside risks to growth and investment from elevated trade uncertainty.

Gov Macklem also acknowledged in the press conference that there has been some spillover from higher yields globally into CAD rates which has led to some tightening in financial conditions. This should allow the BoC to be patient on rate hikes. Near-term, we see further upside risk to CAD rates, especially if the Fed hikes at their Sept meeting.

We close our U6-M7 CORRA flattener after reaching the 75bp stop. As flagged in the BoC's recent statement, higher and potentially more persistent oil prices increase inflation risks. This prompted markets to price a greater likelihood of BoC hikes. Although we still believe stable core inflation and downside risks to growth argue for the BoC to remain patient, the reacceleration of inflation risk that we identified at entry has materialized.



# Inflation – UK

**Mark Capleton**

MLI (UK)

mark.capleton@bofa.com

- We reiterate our long linkers versus swaps on a forward starting basis. We now add a received 2035-to-'38 forward real yield at 2.32%. We think we're near the top.

## Peak district?

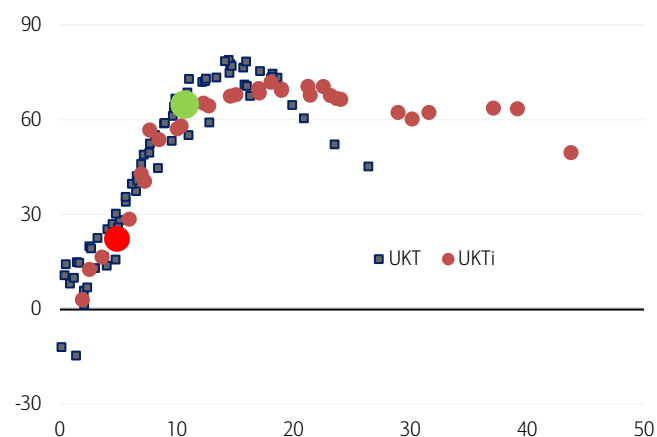
### We add an outright received forward real yield trade idea

Last month, we recommended entering a forward z-spread trade in UK linkers (receiving the 5y7y linker forward vs swaps), via a short in UKTi 2031s versus swaps and a long in UKTi 2038s versus swaps, in equal market values. We entered at 101bp, targeting a richening to 70bp, with a stop-loss at 115bp (all measured in z-spreads). See ['Yen'd game', 7 August 2026](#).

Now, with the 2031s trading 23.9bp cheap to Sonia on z-spread and 2038s 66.5bp cheap, the current level for the forward is 103bp and we are still keen on the trade. Risk to the trade is fiscal slippage.

#### Exhibit 20: UKT and UKTi z-spreads versus modified duration, bp

Highlighting two linkers: UKTi 2031s (red) and UKTi 2038s (green).

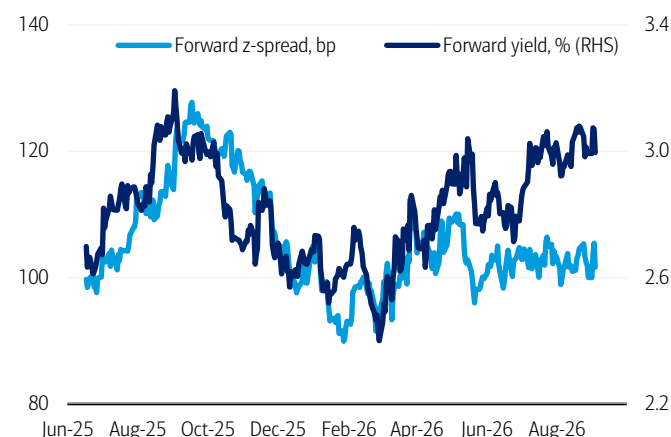


Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

#### Exhibit 21: UKTi 2031 to 2038 forward yield and z-spread

Forwards realized by equal and opposite market value positions in the bonds.



Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

The initial appeal of the trade was based on a generally constructive view of Gilt spreads, and the fact that this forward z-spread was materially cheaper than the equivalent in nominals (when considered in equivalent duration terms). We put this cheapness down to the concentration of linker issuance in that area of the curve, compared to a more dispersed supply pattern in nominals.

Between now and year-end we have three linker supply events, with 2035s and 2031s next month, then the linker syndication in November. 2038s is certainly a strong candidate for a syndicated re-opening, but the majority opinion expressed by both GEMMs and investors in the last round of consultations was for a new 2043 line.

Whatever the decision, we would expect the trade to cope reasonably well with such syndicated supply. The 28 August top-up to the linker syndication programme of £1.25bn still only leaves £3.5bn formally left to do in the second linker syndication. And while this by no means precludes the possibility of a larger sale, we would expect it to be “modestly-sized” (adopting the messaging for next week’s 56s nominal sale), so somewhat smaller than the £4.75bn notional done in July.

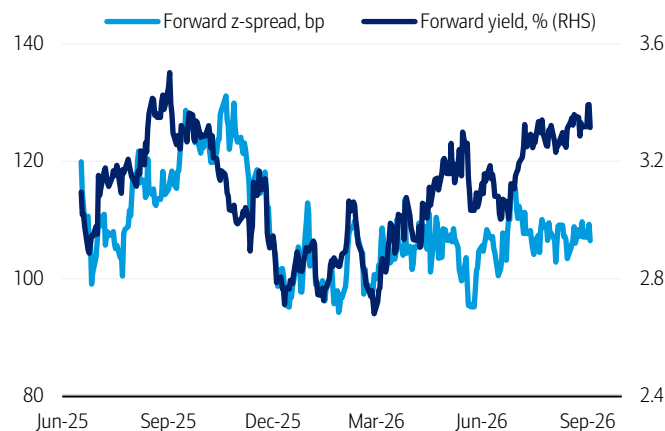


### UKTi 2035s looking a little rich (and up next)

UKTi 2035s is the next linker scheduled for sale, although not until 6 October. If anything it's looking a little expensive, we would say. Exhibit 22 shows the same forward z-spread and forward yield between 2035s and 2038s that we show in Exhibit 21 for the 2031s vs 2038s relationship. The forward z-spread for the new pairing, at 106bp, is a little higher than the 103bp for our original one, but the forward yield is much higher (3.32% vs 3.00%):

#### Exhibit 22: UKTi 2035 to 2038 forward yield and z-spread

Forwards realized by equal and opposite market value positions in the bonds.

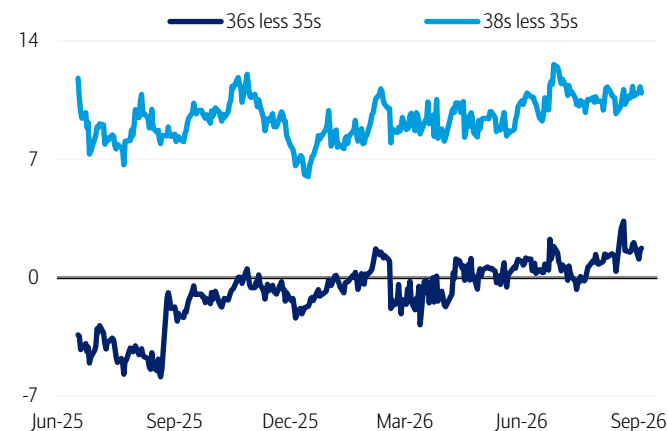


Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

#### Exhibit 23: UKTi 2035s looking rich on z-spread curve

UKTi 2035s vs 2036s and UKTi 2035s v 2038s; spreads of z-spreads, bp



Source: BofA Global Research, Bloomberg

BofA GLOBAL RESEARCH

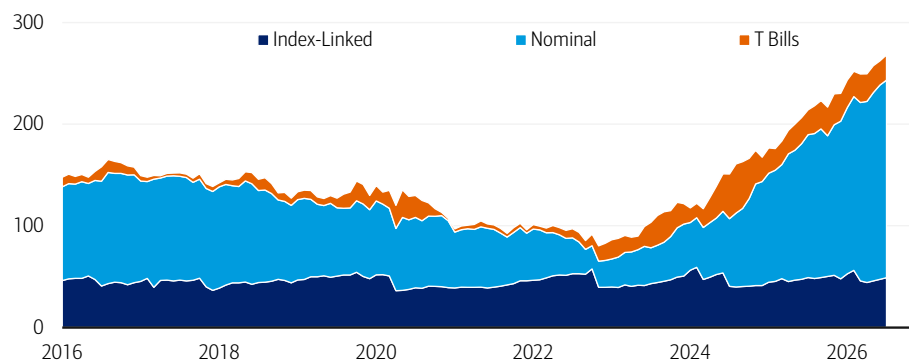
We would also note that 2035s have richened on a spread of z-spreads versus both 2038s and its nearer neighbour 2036s. This latter spread is interesting insofar as it is higher within the historic range. And although there is a curve element, switching into 36s would also be a move down in coupon (to 1/8%). Retail platforms are reporting strong interest in low coupon Gilts (see Rates – UK), and we have long argued that retail investor interest would steadily broaden out to embrace linkers, where 1/8% coupon issues are abundant.

While these ASW switches do look interesting, we will go for the directional trade once again. **We recommend receiving the forward real yield between UKTi 2035s and 2038s at 332bp. We set a target of 275bp and a stop-loss at 360bp.** Risk to the trade is again material fiscal slippage.

### Footnote: linkers sidelined in banks' Gilt buying spree

#### Exhibit 24: Bank holdings of Gilts surge, but they're not buying linkers

Banks' holdings of nominal Gilts, linkers and Treasury Bills, £bn



Source: BofA Global Research, Bank of England, Bloomberg

BofA GLOBAL RESEARCH

# Volatility – US

**Bruno Braizinha, CFA**

BofAS

[bruno.braizinha@bofa.com](mailto:bruno.braizinha@bofa.com)

- Summer seasonals & policy support have suppressed rates vol recently, keeping implieds near fair-value lows. A richer event calendar should support vol near term & raises the scope for markets to test policy-driven suppression.
- Favor: receiver calendars, short left vs right-side vol, and back-end bear steepeners.

From [Pennies, Steamrollers & Buybacks, 31 August 2026](#)

## The buybacks

Recent buybacks, FX intervention and other policy actions increasingly resemble what we view as financial-repression-like measures aimed at reconciling a difficult combination of policy objectives: large fiscal deficits, low rates, a weaker dollar and lower inflation. Absent adjustment in those underlying objectives, pressure is likely to be expressed through market variables such as long-end rates or the dollar, increasing the incentive for policymakers to lean against adverse market adjustments. In this context, intervention becomes less a choice than a necessity.

## The Pennies

The policy bias is therefore likely to remain supportive for duration and suppressive for volatility. The recent vol dynamic & positioning remain broadly consistent with a regime of seasonal- and policy-supported carry (short vol) bias. Not surprisingly, volatility trades near the lower end of its FV range, while the term structure remains relatively steep.

## The Steamroller

While carry remains attractive, the payoff profile is becoming increasingly asymmetric. Investors are effectively being paid to stay aligned with the policy bias, while remaining exposed to regime-break scenarios driven potentially by market tests to the sustainability of the broader policy framework.

The key question is the extent to which policy-induced volatility suppression may offset a richening event calendar. US midterms, live Fed meetings, fiscal negotiations in the UK and France, and lingering geopolitical risks should all contribute to a more supportive volatility backdrop. While policy measures may continue to lean against adverse market adjustments, the asymmetry of investors' risk profile is becoming more apparent.

## Recommendations

We continue to favor fwd vol positions and expressing this bias through receiver calendars: long 18m5y receivers atm-7bp fully financed by selling 3m5y receivers atm, vega weighted (current 0bp, target = 30bp, stop = -10bp, risk = frontloading of cuts + a hawkish monetary policy shift medium term).

We see scope for the left side to underperform and favor short 1y1y vs 1y10y vega through weighted straddles (receiving 13bp of vega indicative, target = 20bp/vega, stop = -10bp/vega, risk = outperformance of left vs right side vol on a more hawkish Fed, with potentially unlimited downside).

We favor hedging scenarios where the market challenges the policy bias towards lower backend rates: 1y fwd 5s30s bear steepeners (pick of 9bp vs fwds indicative, target = 25bp, stop = -10bp, risk = bear flattening scenarios with potentially unlimited downside).



# Volatility – AU

**Bruno Braizinha, CFA**  
BofAS  
[bruno.braizinha@bofa.com](mailto:bruno.braizinha@bofa.com)

**Eleanor Xiao**  
BofAS  
[eleanor.xiao@bofa.com](mailto:eleanor.xiao@bofa.com)

- Persistent inflation and rising RBA tightening risks support AU vol into YE26, particularly the left side of the grid, before growth moderation and eventual easing drive normalization over '27.
- We favor: Long 18m5y vs 3m5y receiver calendars, costless 3m2y receiver ladders.

## From near-term resilience to medium-term moderation

Our Australian macro backdrop reflects near-term resilience vs medium-term moderation. GDP growth is expected to slow from 1.8% in '26 to 1.6% in '27 as restrictive policy increasingly weighs on activity, while headline inflation is expected to decline from 3.7% to 2.5% over the same period.

However, recent data suggest the moderation path may prove less-than-linear. The July CPI print reinforced concerns that domestic price pressures remain persistent. Against that backdrop, we now expect the RBA to raise rates by 25bp in Sep to 4.6%, with risks skewed towards additional tightening should inflation continue to surprise on the upside. Markets price c.40bp of cumulative tightening through mid '27, but recent data suggest the hurdle for further hikes remains lower than implied by market pricing.

In this context, yields are likely to remain elevated over coming quarters, led by the front-end before gradually declining through '27 as growth slows and the RBA moves closer to an easing cycle. On the curve, expectations for near-term tightening risk vs medium-term easing support a bear flattening bias into YE26, before steepening pressures begin to emerge over '27.

## Policy uncertainty supports left side vol

The macro backdrop above implies the following expectations for the vol dynamic:

- **Levels** = Recent data has increased uncertainty around the terminal rate and the likelihood of more restrictive policy than currently priced. Vol is therefore likely to remain supported near-term (Exhibit 26), particularly around the Sep RBA meeting and over subsequent inflation releases.
- **Term structure** = Uncertainty is concentrated around near-term policy outcomes rather than the medium-term macro trajectory. This argues for the persistence of a relatively flat term structure near term (Exhibit 27) as shorter expiries (1m-3m) are likely to stay supported vs intermediates (1y-2y).
- **Left vs right side dynamic** = Uncertainty around the policy trajectory, terminal rate and timing of future easing primarily impacts the left side of the grid, while the right side is more likely to be driven by global term premia and longer-run growth and inflation expectations. The left side of the grid is therefore likely to stay supported (and trade flat / rich - Exhibit 28) vs the right into YE26.
- **Skew** = Markets remain more exposed to upside inflation surprises and the risk of additional tightening than to an imminent easing cycle, supporting demand for protection against higher rates and a more hawkish policy path. The skew dynamic is therefore likely to remain biased towards a more convex profile and richer payer vs receiver skew near term, before a normalization of payer richness over '27.



## Recommendations

**Long 18m5y ATM receivers fully financed by selling 3m5y receivers ATM**, vega weighted, costless indicative (target =25bp, stop = -10bp, risk = dovish policy shift on deteriorating macro backdrop). We close our existing receiver calendar recommendation at 21bp currently (see [Long fwd vol through receiver calendars](#), from 11 May '26).

**Long 3m2y receiver ladders**, costless indicative with strikes ATM/-13bp/-26bp (target = 13bp, stop = -7bp, risk = material dovish repricing of RVBA expectations and rally of 2y rates beyond the downside breakeven at ATM-39bp with potentially unlimited downside). The trade positions for some fading of hawkish RBA expectations near term and potential convergence to our economists' 1-hike scenario.

### Exhibit 25: Recent shift in the curve dynamic from a dominant bear steepening dynamic over the past 1-3m to a bear flattening dynamic more recently

Bear flattening pressures likely to persist into YE26

| 2s10s | bull-S | bear-F | bull-F | bear-St | % Flat | Dispersion | % RBA driven |
|-------|--------|--------|--------|---------|--------|------------|--------------|
| 2w    | 13%    | 55%    | 9%     | 23%     | 64%    | 58%        | 68%          |
| 1m    | 9%     | 32%    | 20%    | 39%     | 51%    | 74%        | 41%          |
| 2m    | 16%    | 30%    | 17%    | 37%     | 47%    | 80%        | 46%          |
| 3m    | 20%    | 25%    | 20%    | 35%     | 45%    | 85%        | 45%          |
| CAF   | 14%    | 32%    | 16%    | 32%     |        |            |              |

Source: BofA Global Research

BofA GLOBAL RESEARCH

### Exhibit 26: 1y10y normal vol dynamic

Vol likely to stay supported by higher policy uncertainty near term

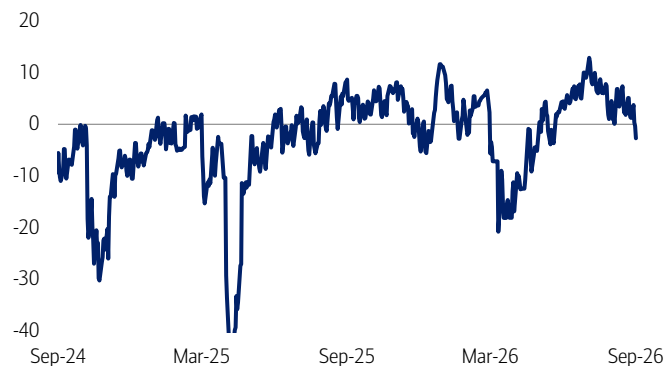


Source: BofA Global Research

BofA GLOBAL RESEARCH

### Exhibit 27: Term structure of AU vol (1y10y vs 1m10y vol spread)

Term structure likely to remain relatively flat into YE26

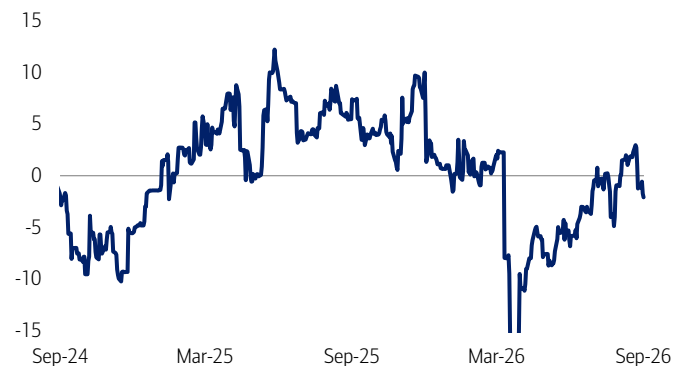


Source: BofA Global Research

BofA GLOBAL RESEARCH

### Exhibit 28: 1y10y vs 1y1y vol spread

Potential for the left side to continue to trade rich vs the right into YE26



Source: BofA Global Research

BofA GLOBAL RESEARCH

# Volatility – JP

**Eleanor Xiao**  
BofAS  
[eleanor.xiao@bofa.com](mailto:eleanor.xiao@bofa.com)

**Bruno Braizinha, CFA**  
BofAS  
[bruno.braizinha@bofa.com](mailto:bruno.braizinha@bofa.com)

- A hawkish BoJ repricing should flatten the curve and support higher vol, led by the left side of the grid. Curve dynamic underprices hawkish BoJ risk, but left-side vol starting to reflect risk via a flatter term structure.
- We favor: 2s10s bear flatteners, long left vs right side vol, short 6m1y payer 1x2.

This is a recap of [JP vol – Hawkish BoJ underpriced, 1 September 2026](#)

## Macro backdrop – deeper into reflation

We see the Japanese economy moving deeper into a reflationary normalization regime: growth remains resilient, inflation is set to reaccelerate, and the BoJ is turning more hawkish as it seeks to prevent inflation from overshooting its 2% target. BoJ officials shifted their focus from preventing inflation undershoots to overshoots. The consequences = higher front-end rates, a flatter curve, and supported volatility.

## BoJ policy – hawkish bias, still underpriced

In August, our economists revised their forecasts for the BoJ policy rate path, from 3 hikes 5-7 months apart (Oct-26, Mar-26 & Oct-27) to 4 quarterly hikes (Sep-26, Dec-26, Mar-27 & Jul-27), taking policy rate to 2% (see Faster hikes, higher terminal). This remains more hawkish than market pricing.

## Rates and curve bias – higher rates, flattening bias

A hawkish BoJ should continue to push front-end and belly yields higher, while improving JGB supply-demand dynamics, foreign demand, and long-end valuation should contain upward pressure at the back-end. The market continues to assign a low degree of freedom to the front end, underpricing BoJ policy optionality. Recent 2s10s dynamics have seen bear flattening remain relatively contained (<20% frequency) despite a more hawkish policy backdrop. We see a potential mispricing in the recent dynamic and an attractive pick up to fwds in conditional bear flattening trades.

## Vol outlook – vol supported, left side leaning

Uncertainty surrounding the timing and extent of further BoJ hikes, combined with a wider distribution of potential terminal rates, should keep policy-sensitive sectors volatile. The macro backdrop therefore suggests a supportive vol context with scope for the left side of the grid to outperform the right side, a flatter term structure of volatility, and a more convex skew with richening of payer vs receiver skew.

Significantly, while the rates curve has failed to react to more hawkish BoJ expectations, the left side of the vol grid seems to be incorporating those expectations at a higher likelihood (e.g., the recent flattening of the left side term structure). Near-term risks remain elevated, but resilient growth, higher inflation, and a hawkish BoJ support higher front-end rates, flatter curve, and elevated vol over the medium term.

## Recommendations

We favor: **2s10s bear flattener** (current = 4bp, target = 25bp, stop = -10bp, risk = bear steepening on global long end repricing), **selling 6m1y payers 1x2** (current = 0bp, target = 30bp, stop = -15bp; risk = downside capped to -15bp), and **long 6m1y vs 6m10y vol** (current = 7bp, target = 25bp/vega, stop = -10bp/vega, risk = dovish BoJ drives outperformance of right vs left vol). We close our **long 6m2y payers in JP vs KR** at 32bp (see [Long JP vs KR frontend payers](#), from 8 Jun '26).





# Technical

**Paul Ciana, CMT**  
BofAS  
paul.ciana@bofa.com

**Jonathan Hartley, CMT**  
BofAS  
jonathan.a.hartley@bofa.com

- US data may provide a chance to pay the 2Y. A head and shoulders pattern suggests paying ~4.26% and looking higher to 4.42% / 4.53%, ideally if above 4.20/4.16%.

## US 2Y Yield: Head & shoulders base revived uptrend

The market's reaction to Jackson Hole commentary revived the higher yield trend bias we have favored all year. The US 2Y yield rose and broke above the neckline (4.26%) of a head-and-shoulders pattern. It implies a rise 4.42% and 4.53%. We think the trend in RSI and rise in MACD above zero supports this.

However, key US data lies ahead, which may make or break the setup. US employment data is on Friday September 4<sup>th</sup> and US inflation data on Thursday September 10<sup>th</sup> and Friday September 11<sup>th</sup>.

Heading into US employment data, the technical bias is to consider paying the 2Y as yield approaches 4.26%, a retest of the neckline. In this case, it would be ideal for yield to remain above the 200d SMA now at 4.20% and/or the right shoulder low of 4.16%.

If employment, PPI and CPI data are all soft or below survey, we should expect yields to decline. One technical risk to keep track of is whether a double top in 2Y yield forms at ~4.40%. Such an alternate scenario could lead yield lower to 4.00% / 3.88%.

**Chart 1: US 2Y yield formed a head and shoulders uptrend continuation pattern that looks higher to 4.42% / 4.53% ideally while above 4.20%.**

US 2Y yield, daily candles, 50d SMA, 200d SMA, RSI, MACD



USGG2YR Index (US Generic Govt 2 Yr) RB: US 2yr Daily Daily 01JUL2025-03SEP2026

Copyright© 2026 Bloomberg Finance L.P.

03-Sep-2026 12:36:47

Source: BofA Global Research, Bloomberg (G R 12)

BofA GLOBAL RESEARCH



# Rates Alpha trade recommendations

## Exhibit 29: Global Rates Trade Book - open trades

Open trades

|         | Open Trades                                                        | Entry Date | Entry   | Target | Stop    | Latest Level | Trade rationale                                         | Risk                                                                                       |
|---------|--------------------------------------------------------------------|------------|---------|--------|---------|--------------|---------------------------------------------------------|--------------------------------------------------------------------------------------------|
| Europe  | <a href="#">Receive 1y2y €str vs AU OIS</a>                        | 3-Sep-26   | 175     | 200    | 160     | 175          | Too much tightening priced in EUR vs AU                 | Stronger EUR data & emergence of 2 <sup>nd</sup> round effects                             |
|         | <a href="#">Short 10y Bunds vs swaps</a>                           | 11-Aug-26  | 4.7     | 1      | 7       | 4.8          | Rich vs relationship to vol, periph, and repo           | Large risk-off shock and bank paying in swaps                                              |
|         | <a href="#">1y fwd 10s20s30s payer fly</a>                         | 24-Jun-26  | 0bp     | 10bp   | -5bp    | -2bp         | Underperformance of 20y on paying flows                 | Outperformance of 20y on the fly                                                           |
|         | <a href="#">6m2y vs 18m2y receiver calendar</a>                    | 24-Jun-26  | 0bp     | 30bp   | -15bp   | 19bp         | ECB hikes near term, cuts medium term                   | Frontloaded cuts                                                                           |
|         | <a href="#">3m fwd 2s10s bull flattener</a>                        | 24-Jun-26  | 0bp     | 15bp   | -7bp    | 0bp          | Near term full flattening bias                          | Dovish ECB & bull steepening momentum                                                      |
|         | <a href="#">BTPEI '30/'33/'36 barbell (24.1%/-100%/75.9% risk)</a> | 29-May-26  | 20.6    | 13.0   | 25.0    | 19.2         | Expect summer bid for duration                          | Poorly digested duration supply                                                            |
|         | <a href="#">Long Spain vs Portugal 2052s</a>                       | 13-May-26  | 14      | 5      | 20      | 13           | Stronger demand for SPGBs in long-end                   | Spanish growth slowdown, more supply in                                                    |
|         | <a href="#">Long Greece vs Italy, 2035</a>                         | 8-May-26   | -5      | -25    | 10      | -12          | Growth resilience, political stability in GR            | Rating upgrade in Italy, less consolidation in GR                                          |
|         | <a href="#">Long 1y5y EURI, short 1y5y EUR payer</a>               | 15-Apr-26  | -29     | 20     | -60     | -32          | High real rate & vol, subdued 1y5y EURI                 | Return to "lowflation" era                                                                 |
|         | <a href="#">1y fwd 5s20s cap ladder (rf = 56.5bp)</a>              | 23-Nov-25  | 0bp     | 11.2bp | -5bp    | 29bp         | Steepening of 5s20s curve                               | Steepening beyond downside BE                                                              |
| UK      | <a href="#">1y1y otm rec spread</a>                                | 23-Nov-25  | 5bp     | 20bp   | 0bp     | 0bp          | Hedge negative shock                                    | Macro rebound                                                                              |
|         | <a href="#">5y1y ATM-25/-100bp rec spread</a>                      | 8-Feb-24   | 25bp    | 60bp   | 0       | 14bp         | Lower ECB terminal rate, without negative carry         | Better than expected EUR data                                                              |
|         | <a href="#">UKTi 2031-38 forward ASW richening</a>                 | 7-Aug-26   | 101     | 70     | 115     | 104          | Entry level, roll-down                                  | Elevated fiscal concern                                                                    |
|         | <a href="#">Long UKT 7/8 2033s on ASW</a>                          | 6-Jul-26   | 38.3    | 25     | 45      | 38.0         | Supply/demand trends                                    | Fiscal relaxation                                                                          |
|         | <a href="#">UKT 1.25 '41/0.875 '46 flattener</a>                   | 15-Jun-26  | 23.4    | 12.0   | 28.0    | 22.7         | RV, relative tax advantage                              | Poorly digested 20y supply                                                                 |
|         | <a href="#">UKT 4.375% 2028/4.875% 2036 steepener</a>              | 11-Jun-26  | 64      | 85     | 55      | 74           | Ahead of June MPC & by-election                         | Strong hawkish lean at the June MP                                                         |
|         | <a href="#">UKT 2044/68 curve flattener</a>                        | 15-May-26  | -1.1    | -12.0  | 6.0     | 1.1          | Underpriced convexity                                   | Unanticipated/poorly digested ultra long supply                                            |
|         | <a href="#">UK-US 10y5y inflation narrower</a>                     | 10-Apr-26  | 91.5bp  | 60bp   | 108bp   | 81.8bp       | Pick-up in UKTi supply, entry level, roll-down          | Heavy pension bid for linkers                                                              |
|         | <a href="#">Long UKT 1/8% 2028 on z-spread</a>                     | 21-Jan-26  | -2      | -20    | 10      | -14          | Retail demand                                           | Programmatic tender of the issue                                                           |
|         | <a href="#">3m5y vs 18m5y rec calendar</a>                         | 31-Aug-26  | 0bp     | 30bp   | -10bp   | 1bp          | On-hold Fed near term, cuts medium term                 | Frontloading of cuts                                                                       |
| US / CA | <a href="#">Short 1y1y vs 1y10y vol</a>                            | 31-Aug-26  | 0bp     | 20bp/v | -10bp/v | -3bp         | Fading of Fed hikes                                     | Hawkish Fed repricing                                                                      |
|         | <a href="#">1y fwd 5s30s bear steepener</a>                        | 31-Aug-26  | 0bp     | 25bp   | -10bp   | -1bp         | Market challenge to backend yield suppression           | Bear flattening scenarios                                                                  |
|         | <a href="#">Long 30y ASW spread</a>                                | 19-Aug-26  | -71bp   | -55bp  | -80bp   | -67bp        | Buybacks to richen long end UST curve vs swaps          | Higher future bill issuance                                                                |
|         | <a href="#">Long 5y UST</a>                                        | 14-Aug-26  | 4.32%   | 3.90%  | 4.60%   | 4.50%        | US data => disinflation & less pressure to hike         | US data acceleration & Fed hikes                                                           |
|         | <a href="#">5s30s steepener</a>                                    | 14-Aug-26  | 89bp    | 110bp  | 70bp    | 73bp         | US data => disinflation & less pressure to hike         | US data acceleration & Fed hikes                                                           |
|         | <a href="#">Long 5y5y inflation swap</a>                           | 31-Jul-26  | 2.39%   | 2.56%  | 2.25%   | 2.42%        | Fed waits for inflation deterioration before tightening | Large equity selloff and hawkish Fed                                                       |
|         | <a href="#">Long 2y ASW spread</a>                                 | 25-Jun-26  | -14bp   | -10bp  | -19bp   | -13bp        | Attractive carry trade with some resilience to risk-off | Major risk-off liquidity crunch                                                            |
|         | <a href="#">1y1y vs 1y9y synthetic real yield curve flattener</a>  | 25-Jun-26  | 6bp     | -50bp  | 45bp    | 33bp         | Lower front-end inflation fwd + flatter nominal curve   | Weaker data forcing Fed cuts or long-end real yields unanchoring on supply/demand concerns |
|         | <a href="#">6m fwd 2s10s floor ladder (rf=23bp)</a>                | 22-May-26  | 0bp     | 15bp   | -10bp   | 15bp         | Flattening on hawkish Fed                               | Flattening beyond downside BE = -22bp                                                      |
|         | <a href="#">Short 2y CAD swap spreads vs long US</a>               | 13-May-26  | -4bp    | +5bp   | -12bp   | -3bp         | Tighter funding in CAD vs soft/stable in US             | Hawkish Fed balance sheet policy                                                           |
| APAC    | <a href="#">Long Dec '26 SOFR/FF</a>                               | 11-May-26  | -4bp    | -1.5bp | -6bp    | -4bp         | FF rate drop to be temporary                            | FF drop & hawkish Fed bal sheet policy                                                     |
|         | <a href="#">Short 1y1y vs 1y10y vol</a>                            | 1-Apr-26   | -19bp   | 30bp   | -10bp   | 12bp         | Lower left vs right side vol                            | Hawkish Fed repricing                                                                      |
|         | <a href="#">Long 15m vs 3m rec calendar</a>                        | 1-Apr-26   | 0bp     | 20bp   | -10bp   | 24bp         | On hold Fed, more cuts medium term                      | Frontloaded cuts, hawkish fed medium term                                                  |
|         | <a href="#">Costless 6m1y payer ladders</a>                        | 1-Apr-26   | 0bp     | 26bp   | -15bp   | 15bp         | Hawkish Fed repricing risk                              | Market prices >2-3 hikes over 6m                                                           |
|         | <a href="#">1y5y receiver spreads</a>                              | 19-Mar-26  | 12bp    | 23bp   | -12bp   | -10bp        | Repricing of Fed policy trough                          | Limited to premium                                                                         |
|         | <a href="#">Long 20y UST butterfly</a>                             | 23-Jan-26  | 52bp    | 30bp   | 65bp    | 48bp         | UST to reduce term premium & WAM                        | No WAM shortening signal & worse liquidity                                                 |
|         | <a href="#">1y5y rec spread (*)</a>                                | 23-Nov-25  | 14.5bp  | 25.5bp | -14.5bp | -14bp        | Hedge downside risks and deeper cuts                    | Macro rebound                                                                              |
|         | <a href="#">1y fwd 5s30s cap spd (rf = 64.5bp)</a>                 | 23-Nov-25  | 11.5bp  | 18.5bp | -11.5bp | 30bp         | Backend steepening, higher vol context                  | Steepening beyond downside BE                                                              |
|         | <a href="#">18m1y vs 6m1y rec</a>                                  | 1-May-25   | 0bp     | 30bp   | -15bp   | 27bp         | < frontloaded cuts, > backloaded cuts                   | >frontloaded cuts with < medium term                                                       |
|         | <a href="#">3y1y rtr spd a/-50bp</a>                               | 6-Nov-23   | 23bp    | 50bp   | -23bp   | -20bp        | Soft landing scenario                                   | Capped to premium                                                                          |
| APAC    | <a href="#">JP long 6m1y vs 6m10y vol</a>                          | 1-Sep-26   | +22bp/v | 25bp/v | -10bp/v | 7bp          | Hawkish BoJ                                             | Dovish BoJ                                                                                 |
|         | <a href="#">JP 1y fwd 2s10s bear flattener</a>                     | 1-Sep-26   | 0bp     | 25bp   | -10bp   | 4bp          | Bear flattening on hawkish BoJ                          | Bear steepening on behind the curve BoJ                                                    |
|         | <a href="#">AU 6m fwd 5s30s bear steepener</a>                     | 30-Jul-26  | 0bp     | 20bp   | -10bp   | -1bp         | Behind the curve RBA                                    | Bear flattening dynamic                                                                    |
|         | <a href="#">AU 6m2y rec ladders</a>                                | 30-Jul-26  | 0bp     | 19bp   | -10bp   | 1bp          | On-hold RBA                                             | Rally beyond downside BE                                                                   |
|         | <a href="#">Long 30y JGB ASW</a>                                   | 24-Jul-26  | 45bp    | 35bp   | 52bp    | 49bp         | Strong cash demand & lower lifer receiving in swaps     | Further position unwinds by non-Japanese investors                                         |
|         | <a href="#">Pay 2y 6s3s</a>                                        | 17-Jul-26  | 22bp    | 27bp   | 19bp    | 22bp         | Near cyclical lows                                      | Weak bank bill issuance                                                                    |
|         | <a href="#">Long 6m2y receivers in AU vs US</a>                    | 24-Jun-26  | 0bp     | 20bp   | -10bp   | -1.6bp       | Outperformance of AU vs US frontend                     | Hawkish RBA and/or dovish Fed                                                              |
|         | <a href="#">JP 6m10y payer 1x2</a>                                 | 6-May-26   | 0bp     | 30bp   | -15bp   | 5bp          | Further bearish momentum in JP curve                    | Limited to premium paid                                                                    |
|         | <a href="#">JP 6m10y payer spread</a>                              | 6-May-26   | 11bp    | 29bp   | -11bp   | 8bp          | Further bearish momentum in JP curve                    | Limited to premium paid                                                                    |
|         | <a href="#">JP short 6m1y payer 1x2</a>                            | 6-May-26   | 0bp     | 30bp   | -15bp   | 6bp          | Material hawkish BoJ repricing                          | Moderate underperformance vs fwds                                                          |
|         | <a href="#">AU costless 1y2y rec ladder</a>                        | 23-Nov-25  | 0bp     | 25bp   | -10bp   | 0.5bp        | Dovish RBA                                              | Rally beyond downside BE                                                                   |

(\*) Target, stop, and latest level reflect PnL of trade

Source: BofA Global Research

BofA GLOBAL RESEARCH



**Exhibit 30: Global Rates Trade Book - closed trades**

Closed trades

|         | Closed trades                                   | Entry date | Entry level | Target | Stop  | Close date | Level closed |
|---------|-------------------------------------------------|------------|-------------|--------|-------|------------|--------------|
| Europe  | Long SFIH7 vs ERH7                              | 3-Aug-26   | 139         | 120    | 154   | 3-Sep-26   | 129          |
|         | Receive OATe1 2031-40 fwd yield                 | 27-Mar-26  | 247         | 210    | 280   | 24-Aug-26  | 280          |
|         | Long Finland vs Austria 2040s                   | 13-May-26  | 6.5         | -3     | 12    | 21-Aug-26  | 12           |
|         | Long EU vs France 2035s                         | 21-May-26  | 30          | 40     | 25    | 12-Aug-26  | 40           |
|         | ERZ6-Z7 flattener                               | 25-Mar-26  | -14         | -50    | 10    | 22-Jul-26  | 10           |
|         | Short 1y1y vs 1y10y vol                         | 8-Apr-26   | -13bp       | 15bp   | -3bp  | 9-Jul-26   | 15bp         |
|         | 10y5y-15y15y EUR swaps steepener                | 17-Apr-26  | -50         | -25    | -65   | 23-Jun-26  | -38          |
|         | Long 10y Bunds                                  | 27-Mar-26  | 3.12        | 2.75   | 3.35  | 25-May-26  | 2.94         |
|         | 1y fwd 10s20s30s payer fly                      | 23-Nov-25  | 0bp         | 10bp   | -5bp  | 23-May-26  | 0bp          |
|         | Short 3m2y payers in US vs EU                   | 6-May-26   | 0bp         | 25bp   | -13bp | 21-May-26  | 15bp         |
|         | Short 3m2y EU vs US vol                         | 8-Apr-26   | -4bp        | 16bp   | -19bp | 11-May-26  | 15bp         |
|         | Long 2x1y4y EURi; rec've 1y4y Estr              | 28-Jan-26  | 143         | 180    | 120   | 15-May-26  | 171          |
|         | Long 7Y France vs Belgium                       | 10-Apr-26  | 21bp        | 10bp   | 28bp  | 29-Apr-26  | 20bp         |
|         | Buy 6m fwd 2s10s floor spd                      | 11-Mar-26  | Ref. 34bp   | -6bp   | 44bp  | 29-Apr-26  | 19bp         |
|         | Pay Jun26 IMM 1y Euribor-€str basis             | 7-Aug-25   | 23.7        | 30     | 19.5  | 16-Apr-26  | 26.7         |
|         | Long 10y PGB - BGB                              | 25-Mar-26  | -13         | -25    | -5    | 8-Apr-26   | 16           |
|         | Receive 2y3y Euribor swaps                      | 27-Mar-26  | 3.08        | 2.70   | 3.25  | 8-Apr-26   | 2.80         |
|         | Buy BTPei 28s on z-spread                       | 27-Mar-26  | 24          | 5      | 35    | 5-Apr-26   | 5            |
|         | US-EZ 30y inf. sprd. widener                    | 23-Nov-25  | 22          | 60     | 0     | 31-Mar-26  | -3           |
|         | Long SARON 2y1y                                 | 19-Mar-26  | 36bp        | 0bp    | 55bp  | 24-Mar-26  | 30bp         |
|         | Buy 6m5y payer spreads                          | 10-Mar-26  | 10.5bp      | 29.5bp | 0bp   | 19-Mar-26  | 14.5bp       |
|         | Pay 1y1y EUR xccy basis                         | 12-Mar-26  | -3.5        | 0      | -5.2  | 19-Mar-26  | -5.2         |
|         | Short 6m1y payers 1x2                           | 10-Mar-26  | 0bp         | 30bp   | -10bp | 18-Mar-26  | 8bp          |
|         | Sell OBL #192 vs. DBR Aug-46 ASW box            | 23-Nov-25  | 26          | 15     | 33    | 3-Mar-26   | 33           |
|         | Receive Mar26 ECB €str                          | 3-Oct-25   | 1.86        | 1.65   | 1.95  | 3-Mar-26   | 1.95         |
|         | 1y fwd 5s20s bull steepener                     | 23-Nov-25  | 0bp         | 20bp   | -10bp | 13-Feb-26  | 3bp          |
|         | Long 3m10y vs 1y10y payer (*)                   | 23-Nov-25  | 3bp         | 20bp   | -10bp | 12-Feb-26  | -10bp        |
|         | Long 30y Bunds vs Netherlands                   | 24-Nov-24  | 14.5        | 25     | 8     | 27-Jan-26  | 6            |
|         | Long 7y Finland vs Austria                      | 30-Oct-25  | 4           | -5     | 10    | 19-Jan-26  | 2            |
|         | Short 6m2y rec ladder                           | 7-Jul-25   | 0bp         | 25bp   | -14bp | 7-Jan-26   | 0bp          |
|         | Receive 10y5y 'real ESTR' rate                  | 5-Sep-25   | 107         | 70     | 125   | 14-Dec-25  | 126          |
|         | Sell OATe1 47, buy BTPei 56 on z-spread         | 5-Sep-25   | 69          | 40     | 85    | 4-Dec-25   | 38           |
|         | Sell 2055 TIPS, buy 2056 BTPei                  | 8-Oct-25   | 12          | -20    | 28    | 23-Nov-25  | 0bp          |
|         | 2y3y/5y5y Euro inflation steepener              | 2-May-25   | 20.0        | 35.0   | 10.0  | 23-Nov-25  | 16bp         |
|         | US-Euro 2y3y inflation widener                  | 1-Jul-25   | 38          | 70     | 20    | 23-Nov-25  | 47bp         |
|         | Long 10y Bunds                                  | 2-Sep-25   | 2.80%       | 2.40%  | 3.05% | 21-Nov-25  | 2.68%        |
|         | Short 5y German swap spreads                    | 11-Jul-25  | 6.5         | 0      | 12    | 17-Nov-25  | 12           |
|         | Receive 10y5y Estr                              | 2-Sep-25   | 3.4%        | 3%     | 3.7%  | 30-Oct-25  | 3.19%        |
|         | 6m 2s10s floor ladder                           | 7-Jul-25   | 63bp        | 51.4bp | 70bp  | 27-Oct-25  | 50bp         |
|         | US 3m10y payer spd vs EUR payers                | 7-Jul-25   | 0bp         | 25bp   | -15bp | 7-Oct-25   | -7bp         |
|         | Receive Oct ECB Estr                            | 18-Jul-25  | 1.765       | 1.565  | 1.925 | 26-Sep-25  | 1.929        |
|         | Receiving 6m1y EUR vs CHF                       | 14-Mar-25  | 176bp       | 130bp  | 200bp | 18-Sep-25  | 196bp        |
| UK      | Receive UKTi 2036-55 forward real yield         | 25-Jun-26  | 259         | 300    | 200   | 23-Jul-26  | 300          |
|         | Pay June MPC-dated Sonia                        | 8-May-26   | 3.82        | 3.98   | 3.73  | 18-Jun-26  | 3.74         |
|         | RPI 1y1y/2y2y flattener                         | 24-Apr-26  | -7          | -30    | 10    | 13-Jun-26  | 13           |
|         | Receive 4y5y Gilt yield vs. Sonia               | 15-Jan-26  | 72          | 45     | 87    | 1-May-26   | 72           |
|         | UKTi 2058/68 real curve flattener               | 1-Jul-25   | -12.7bp     | -22bp  | -7bp  | 29-Apr-26  | -16.1bp      |
|         | Pay Jul'26 vs. rec Apr'27 MPC Sonia             | 2-Apr-26   | 14          | -15    | 25    | 17-Apr-26  | 5            |
|         | Receive 1y real Sonia vs real Estr              | 20-Mar-26  | 36          | -25    | 65    | 31-Mar-26  | -6           |
|         | Long UKTi 2039 BEI                              | 20-Nov-25  | 286         | 325    | 265   | 9-Mar-26   | 322          |
|         | Long G vs. RXA invoice spd                      | 23-Nov-25  | 52bp        | 32bp   | 62bp  | 27-Feb-26  | 32bp         |
|         | Long SFIH7 futures                              | 11-Feb-26  | 3.36        | 3.25   | 3.42  | 26-Feb-26  | 3.25         |
|         | Pay Feb'26 vs. Jun'26 MPCs                      | 23-Nov-25  | -24bp       | -40bp  | -17bp | 6-Feb-26   | -33.5bp      |
|         | Pay 10y Sonia vs long 30y Gilt                  | 19-Sep-25  | 139bp       | 120bp  | 155bp | 5-Dec-25   | 120bp        |
|         | Rec fwd UKTi real rates/pay fwd TIPS real rates | 14-May-25  | 22bp        | -40bp  | 50bp  | 4-Dec-25   | -41bp        |
|         | Pay 1y1y "real Sonia"                           | 24-Oct-25  | 11          | 30     | 0     | 24-Nov-25  | 30           |
|         | 1s2s RPI flattener                              | 2-Oct-25   | 6.5         | -25.0  | 25.0  | 24-Nov-25  | 14           |
|         | Long 30y Gilt on ASW                            | 2-May-25   | 91          | 75     | 100   | 14-Nov-25  | 85           |
|         | Long UKTi 2027s on z-spread                     | 5-Sep-25   | 15          | 0      | 23    | 30-Oct-25  | 24           |
|         | Receive December MPC-dated Sonia                | 5-Sep-25   | 3.88        | 3.72   | 3.96  | 22-Oct-25  | 3.80         |
|         | UKTi 2037/39 real curve flattener               | 24-Oct-24  | 17          | 9      | 25    | 17-Oct-25  | 17           |
|         | UKTi '32/36/47 barbell                          | 5-Sep-24   | 14.8        | 5.0    | 20.0  | 17-Oct-25  | 8.5          |
|         | Sell UKTi 2036 v UKT 2042 on ASW                | 26-Jul-24  | -21         | -8     | -28   | 17-Oct-25  | -12          |
| US / CA | CORRA U6-M7 flattener                           | 14-Aug-26  | 57bp        | 35bp   | 75bp  | 4-Sep-26   | 75bp         |
|         | Paid Jan '27 FOMC OIS                           | 29-Jul-26  | 4.02%       | 4.40%  | 3.70% | 28-Aug-26  | 4.08%        |
|         | 2s10s flattener                                 | 8-Jun-26   | 38bp        | 15bp   | 60bp  | 14-Aug-26  | 50bp         |
|         | Short 2y UST                                    | 18-May-26  | 3.87%       | 4.25%  | 3.70% | 14-Aug-26  | 4.12%        |
|         | Long 2y CA vs short 2y US                       | 23-Jun-26  | 140bp       | 190bp  | 100bp | 14-Aug-26  | 121bp        |
|         | 2s10s CAD swaps steepener vs USD flattener      | 13-Mar-26  | 35bp        | 65bp   | 5bp   | 14-Aug-26  | 41bp         |



**Exhibit 30: Global Rates Trade Book - closed trades**

Closed trades

| Closed trades                                | Entry date | Entry level | Target | Stop    | Close date | Level closed |
|----------------------------------------------|------------|-------------|--------|---------|------------|--------------|
| 1s2s inflation curve flattener               | 28-May-26  | -19bp       | -45bp  | 0bp     | 7-Aug-26   | 2bp          |
| Short July '26 SOFR/FF                       | 9-Jun-26   | -0.5bp      | -2bp   | 2bp     | 31-Jul-26  | 1.25bp       |
| Short 10y UST vs Bunds                       | 6-May-26   | 134.5bp     | 160bp  | 120bp   | 1-Jul-26   | 160bp        |
| Long 3m1y rec in US vs EU                    | 1-Apr-26   | 0bp         | 20bp   | -10bp   | 1-Jul-26   | -8bp         |
| Long 2y inflation swap                       | 28-May-26  | 2.83%       | 3.10%  | 2.65%   | 19-Jun-26  | 2.65%        |
| Long CORRA Z6 vs Short SOFR Z6               | 5-Jun-26   | 126bp       | 160bp  | 100bp   | 18-Jun-26  | 156bp        |
| 6m fwd 2s10s bear steepeners                 | 1-Apr-26   | 0bp         | 25bp   | -10bp   | 18-Jun-26  | -10bp        |
| 2s5s flattener                               | 21-May-26  | 13bp        | 0bp    | 30bp    | 8-Jun-26   | 12bp         |
| 1y fwd 5s30s steepener                       | 23-Nov-25  | 0bp         | 20bp   | -10bp   | 4-Jun-26   | -10bp        |
| 5s30s steepener                              | 13-Mar-26  | 101bp       | 130bp  | 80bp    | 4-Jun-26   | 82bp         |
| 2y1y receiver ladder                         | 25-Jan-25  | 0bp         | 50bp   | -10bp   | 4-Jun-26   | 17bp         |
| 6m2y risk reversals                          | 19-Mar-26  | 0bp         | 25bp   | -10bp   | 21-May-26  | -10bp        |
| Long 5y synthetic RY                         | 23-Nov-25  | 91bp        | 40bp   | 125bp   | 21-May-26  | 125bp        |
| Short June '26 SOFR/FF                       | 13-May-26  | 0.5bp       | -1bp   | 2bp     | 19-May-26  | 2bp          |
| Long 5y5y inflation swap                     | 26-Mar-26  | 2.34%       | 2.55%  | 2.20%   | 8-May-26   | 2.46%        |
| 6m fwd 2s10s floor ladder (rf = 52.5bp)      | 23-Nov-25  | 0bp         | 9.75bp | -5bp    | 21-May-26  | 5bp          |
| 6m2y payer ladders (*)                       | 23-Nov-25  | 0bp         | 18bp   | -10bp   | 21-May-26  | -10bp        |
| Long CORRA Z6                                | 1-May-26   | 2.83%       | 2.29%  | 3.10%   | 13-May-26  | 2.81         |
| Long 30y swap spread                         | 5-May-26   | -81bp       | -71bp  | -84bp   | 6-May-26   | -78bp        |
| Long Dec '26 SOFR/FF                         | 5-Feb-26   | -6bp        | -3bp   | -9bp    | 6-May-26   | -3.5bp       |
| Long 2y swap spread                          | 23-Nov-25  | 24bp        | 15bp   | 30bp    | 5-May-26   | 14bp         |
| Receive SOFR M8                              | 13-Mar-26  | 3.41%       | 2.75%  | 3.70%   | 1-May-26   | 3.57%        |
| 6m10y payer ladder                           | 22-Oct-25  | 0bp         | 20bp   | -10bp   | 7-Apr-26   | 16bp         |
| Receive Jun FOMC OIS                         | 19-Mar-26  | 3.65%       | 3.4%   | 3.78%   | 2-Apr-26   | 3.64%        |
| Long Jun '26 SOFR/FF                         | 13-Jan-26  | -4bp        | -1bp   | -7bp    | 30-Mar-26  | -2.5bp       |
| 1y1y SOFR/FF widener                         | 23-Nov-25  | -5.25bp     | -1bp   | -8bp    | 30-Mar-26  | -5bp         |
| 1y5y inflation curve flattener               | 6-Mar-26   | -38bp       | -75bp  | -15bp   | 20-Mar-26  | -75bp        |
| Sell 1y1y vs 1y10y vol                       | 14-Aug-25  | +4bp/v      | 15bp/v | -5bp/v  | 26-Mar-26  | -5bp/v       |
| Receive Jan FOMC OIS                         | 12-Dec-25  | 3.60%       | 3.44%  | 3.70%   | 18-Mar-26  | 3.65%        |
| Long 10y BE                                  | 23-June-25 | 234bp       | 255bp  | 220bp   | 13-Mar-26  | 239bp        |
| 2y30y inflation swap flattener               | 26-Feb-26  | 1bp         | -30bp  | 20bp    | 6-Mar-26   | -27bp        |
| Pay Jun FOMC OIS                             | 12-Feb-26  | 3.45%       | 3.64%  | 3.30%   | 6-Mar-26   | 3.50%        |
| Long 30y swap spread                         | 3-Feb-26   | 73bp        | 60bp   | 80bp    | 4-Mar-2026 | 79bp         |
| Receive SOFR Z7                              | 31-Oct-25  | 3.18%       | 2.50%  | 3.65%   | 27-Feb-26  | 3.05%        |
| Sell 3m1y vs 15m1y rec                       | 23-Nov-25  | 4.5bp/v     | 20bp   | -10bp   | 27-Feb-26  | 72bp         |
| 5s30s steepener                              | 23-Nov-25  | 108bp       | 150bp  | 75bp    | 23-Feb-26  | 110bp        |
| 2s10s CAD steepener vs USD flattener         | 8-Jan-26   | 21bp        | 50bp   | 5bp     | 15-Jan-26  | 25bp         |
| Long Jan SOFR/FF                             | 15-Sep-25  | -6.5bp      | -2bp   | -11bp   | 8-Jan-26   | -4.5         |
| CAD 2s10s steepener                          | 23-Nov-25  | 74.5bp      | 90bp   | 50bp    | 8-Jan-26   | 84bp         |
| 1y1y receiver 1x1.5                          | 12-Dec-24  | 9bp         | 60bp   | -15bp   | 12-Dec-25  | 2bp          |
| Long 3m CORRA Z6 futures                     | 23-Nov-25  | 2.32%       | 2.00%  | 2.50%   | 5-Dec-25   | 2.60%        |
| SOFR H6H7 flattener                          | 11-Sep-25  | -53bp       | -75bp  | -35bp   | 26-Nov-25  | -58bp        |
| 6m5y payer ladder                            | 23-May-25  | 0bp         | 27bp   | -10bp   | 24-Nov-25  | 0bp          |
| 1y1y straddles vs strangles                  | 24-Nov-24  | +0.31%      | 20bp v | -10bp v | 20-Nov-25  | 0.036%       |
| 1y fwd 5s30s bear steepener                  | 24-Nov-24  | 0bp         | 30bp   | -15bp   | 20-Nov-25  | 27bp         |
| Long 5y30y vol vs 2y30y vol                  | 24-Nov-24  | +5.5bp v    | 15bp v | -10bp v | 13-Nov-25  | 15bp         |
| 6m fwd 2s10s floor ladder                    | 1-May-25   | 46bp        | 17bp   | -10bp   | 1-Nov-25   | 31bp         |
| Paid April '26 FOMC OIS                      | 19-Sep-25  | 3.31%       | 3.65%  | 3.05%   | 29-Oct-25  | 3.47%        |
| 2s10s flattener                              | 19-Sep-25  | 55bp        | 30bp   | 70bp    | 29-Oct-25  | 46bp         |
| 1y10y payer spread vs 3m10y payer            | 24-Nov-24  | 0bp         | 30bp   | -15bp   | 23-Oct-25  | -15bp        |
| 1y10y inflation swap steepener               | 3-Sep-25   | -83bp       | -40bp  | -110bp  | 22-Oct-25  | -68bp        |
| 6m10y payer spreads                          | 7-Apr-25   | 8.5bp       | 25bp   | -8.5    | 7-Oct-25   | -7bp         |
| Short 30y spread                             | 1-Aug-25   | -88bp       | -105bp | -70bp   | 3-Oct-25   | -83bp        |
| Received 5y OIS                              | 8-Aug-25   | 3.44%       | 2.8%   | 3.8%    | 19-Sep-25  | 3.29%        |
| 5s30s nominal steepener                      | 3-Sep-25   | 122bp       | 160bp  | 90bp    | 19-Sep-25  | 105bp        |
| Receive BoC Sept OIS vs Pay Fed Sept OIS     | 12-Sep-25  | 7bp         | 0bp    | 13bp    | 15-Sep-25  | 3bp          |
| Short Oct SOFR/FF                            | 27-Jun-25  | -4bp        | -8bp   | -1bp    | 15-Sep-25  | -6bp         |
| APAC                                         |            |             |        |         |            |              |
| JP long 6m2y rtp vs KR 6m2y OTM rtp          | 8-Jun-26   | 0bp         | 25bp   | -10bp   | 4-Sep-26   | 32bp         |
| AU short 6m1y vs 18m1y rec calendar          | 11-May-26  | 0bp         | 30bp   | -10bp   | 4-Sep-26   | 21bp         |
| AU 6m1y risk reversal                        | 24-Jun-26  | 0bp         | 15bp   | -7bp    | 4-Sep-26   | -7bp         |
| JP costless 6m5y receiver ladder             | 3-Feb-26   | 0bp         | 12bp   | -5bp    | 4-Sep-26   | 0bp          |
| JP Costless 1y2y payer ladder                | 23-Nov-25  | 0bp         | 18bp   | -10bp   | 4-Sep-26   | -10bp        |
| Buy QTC July 2037 on matched maturity swap   | 06-Aug-26  | 63bp        | 55bp   | 68bp    | 4-Sep-26   | 60bp         |
| Buy NSWTC May 2027 on matched maturity swap  | 06-Aug-26  | 10bp        | 2bp    | 15bp    | 4-Sep-26   | 9bp          |
| AUD 10y long                                 | 10-Feb-26  | 4.88%       | 4.3%   | 5.15%   | 4-Sep-26   | 5.15%        |
| AU short 1y1y vs 1y10y vol                   | 24-Jun-26  | -3bp/v      | 10bp   | -5bp    | 23-Jul-26  | -10bp        |
| Long AU 2y1y, short US 2y1y, pay Sep/Dec RBA | 18-Jun-26  | 49bp        | 23bp   | 62bp    | 24-Jul-26  | 64bp         |
| Pay 3y swap EFP (q/q)                        | 28-May-25  | -9.5bp      | 10bp   | -19.5bp | 24-Jul-26  | -1.5bp       |
| Pay Jan BOJ OIS/Receive Dec RBA OIS          | 10-Jun-26  | 325bp       | 290bp  | 345bp   | 10-Jul-26  | 322bp        |
| Receive 6m6m AONIA/SOFR                      | 10-Jun-26  | 11.3bp      | 4bp    | 15bp    | 10-Jul-26  | 7bp          |

**Exhibit 30: Global Rates Trade Book - closed trades**

Closed trades

| Closed trades                               | Entry date | Entry level | Target | Stop   | Close date | Level closed |
|---------------------------------------------|------------|-------------|--------|--------|------------|--------------|
| Receive 1y1y AONIA/SOFR basis swap          | 23-Nov-25  | 14bp        | 5bp    | 18.5bp | 10-Jul-26  | 11bp         |
| AU 1y forward 2s10s flattener               | 8-May-26   | 47bp        | 29bp   | 57bp   | 3-Jun-26   | 54bp         |
| Selling Japan invoice spread                | 10-Apr-26  | -10.3       | -13.5  | -8.7   | 22-May-26  | -9.8         |
| Short 5yr JGB on ASW                        | 1-Dec-25   | 5           | 15     | 0      | 22-May-26  | 4.1          |
| Pay RBA OIS May                             | 30-Apr-26  | 19bp        | 25bp   | 16bp   | 5-May-25   | 25bp         |
| U6U7 flattener                              | 27-Mar-26  | -1bp        | -25bp  | 12bp   | 5-May-26   | -5bp         |
| JP long 1y1y vs 1y10y vol (*)               | 23-Nov-25  | 11bp        | 15bp   | -8bp   | 26-Mar-26p | -10bp        |
| JP 1y fwd 2s30s bear flattener              | 23-Nov-25  | 0bp         | 20bp   | -10bp  | 26-Mar-26p | 20bp         |
| May/Dec '26 RBA OIS flattener               | 9-Mar-26   | 32bp        | 12bp   | 42bp   | 19-Mar-26  | 42bp         |
| Long 6m20y payers JPY vs AUD                | 21-Aug-25  | 0bp         | 20bp   | -10bp  | 27-Feb-26  | 6bp          |
| Long 9m2y rec spd US vs AU rec              | 23-Nov-25  | 0bp         | 30bp   | -10bp  | 12-Feb-26  | 8bp          |
| Long Japan 10-year BEI                      | 23-Nov-25  | 160bp       | 190bp  | 167bp  | 13-Feb-26  | 190bp        |
| Long OTR JGBi 2030 BEI                      | 23-Nov-25  | 155bp       | 170bp  | 147bp  | 13-Feb-26  | 190bp        |
| Buy 30y ACGBs vs. 30y JGBs                  | 23-Nov-25  | 163bp       | 100bp  | 194bp  | 16-Jan-26  | 168bp        |
| AU 3s7s flattener vs. CAD steepener         | 23-Nov-25  | 24.5bp      | 15bp   | 45bp   | 5-Dec-25   | 19bp         |
| Buy TCV 5.5% Sep 2039, pay 10y swap         | 15-May-25  | 133bp       | 100bp  | 148bp  | 25-Nov-25  | 99bp         |
| JP 1y2y payers spd vs 1y10y payers          | 24-Nov-24  | 0bp         | 40bp   | -15bp  | 20-Nov-25  | -2bp         |
| JP 1y5y payer ladders                       | 24-Nov-24  | 0bp         | 28bp   | -10bp  | 20-Nov-25  | 17bp         |
| Long 6m5y payer spd USD vs KRW              | 23-Sep-25  | 0bp         | 25bp   | -10bp  | 20-Nov-25  | -10bp        |
| Long 20y AU semis, short 20y JGBs           | 18-Aug-24  | 289bp       | 200bp  | 330bp  | 14-Nov-25  | 282bp        |
| AU IR H6/H7 steepener                       | 30-Oct-25  | 0bp         | 25bp   | -12bp  | 13-Nov-25  | 13bp         |
| Pay AU 10y invoice spread vs US             | 30-May-25  | 40bp        | 60bp   | 25bp   | 23-Nov-25  | 44bp         |
| KR 1y fwd 2s10s bull steepeners             | 24-Nov-24  | 0bp         | 25bp   | -10bp  | 6-Nov-25   | 7bp          |
| Pay Nov RBA OIS                             | 4-Nov-25   | 19bp        | 0bp    | 25bpbp | 4-Nov-25   | 0bp          |
| Pay 6m1y, receive 1y5y swaps                | 30-Oct-25  | 62bp        | 38bp   | 74bp   | 30-Oct-25  | 60.7bp       |
| AU 6m3y receiver 1x1.5                      | 27-Mar-25  | 4bp         | 30bp   | -15bp  | 27-Sep-25  | 12bp         |
| Selling IVSP (= sell JIBZ5 vs receive swap) | 20-Aug-25  | -12.5       | -16.0  | -9.5   | 10-Oct-25  | -13.2        |
| AU 6m1y payer ladder                        | 14-Jul-25  | 0bp         | 18bp   | -10bp  | 25-Sep-25  | 5bp          |
| Short Dec '26 futures, buy US               | 15-Aug-25  | 7bp         | 50bp   | -15bp  | 19-Sep-25  | 25bp         |

Source: BofA Global Research

BofA GLOBAL RESEARCH



# Global rates forecasts

## Exhibit 31: Latest levels and rate forecasts

Forecasts by quarter up to YE '27 plus YE 2028

|           |                         | Latest      | Q3 26       | YE 26       | Q1 27       | Q2 27       | Q3 27       | YE 27       | YE 28       |
|-----------|-------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| USA       | 0/N SOFR                | 3.65        | 3.91        | 4.41        | 4.41        | 4.41        | 4.41        | 4.41        | 4.41        |
|           | 2y T-Note               | 4.34        | 4.50        | 4.50        | 4.40        | 4.35        | 4.30        | 4.25        | 4.00        |
|           | 5y T-Note               | 4.52        | 4.50        | 4.50        | 4.45        | 4.40        | 4.35        | 4.30        | 4.15        |
|           | <b>10y T-Note</b>       | <b>4.77</b> | <b>4.50</b> | <b>4.50</b> | <b>4.50</b> | <b>4.50</b> | <b>4.50</b> | <b>4.50</b> | <b>4.50</b> |
|           | 30y T-Bond              | 5.25        | 4.90        | 5.00        | 5.00        | 5.00        | 5.00        | 5.00        | 5.00        |
|           | 2y Swap                 | 4.18        | 4.10        | 4.10        | 4.12        | 4.12        | 4.12        | 4.12        | 3.87        |
|           | 5y Swap                 | 4.21        | 4.00        | 3.97        | 3.95        | 3.95        | 3.95        | 3.95        | 3.80        |
|           | <b>10y Swap</b>         | <b>4.35</b> | <b>4.05</b> | <b>3.93</b> | <b>3.95</b> | <b>3.95</b> | <b>3.95</b> | <b>3.95</b> | <b>3.95</b> |
|           | 30y Swap                | 4.53        | 4.10        | 4.17        | 4.15        | 4.15        | 4.15        | 4.15        | 4.15        |
| Germany   | 3m Euribor              | 2.66        | 2.65        | 2.60        | 2.35        | 2.15        | 2.15        | 2.10        | 1.70        |
|           | 2y BKO                  | 2.96        | 2.60        | 2.55        | 2.25        | 2.15        | 2.10        | 2.05        | 1.85        |
|           | 5y OBL                  | 3.08        | 2.65        | 2.60        | 2.40        | 2.35        | 2.35        | 2.30        | 2.15        |
|           | <b>10y DBR</b>          | <b>3.34</b> | <b>2.90</b> | <b>2.90</b> | <b>2.75</b> | <b>2.70</b> | <b>2.70</b> | <b>2.60</b> | <b>2.50</b> |
|           | 30y DBR                 | 3.81        | 3.45        | 3.45        | 3.25        | 3.25        | 3.25        | 3.15        | 3.15        |
|           | 2y Euribor Swap         | 3.17        | 2.75        | 2.65        | 2.35        | 2.25        | 2.20        | 2.15        | 1.90        |
|           | 5y Euribor Swap         | 3.24        | 2.75        | 2.65        | 2.40        | 2.35        | 2.35        | 2.30        | 2.10        |
|           | <b>10y Euribor Swap</b> | <b>3.38</b> | <b>2.95</b> | <b>2.90</b> | <b>2.70</b> | <b>2.65</b> | <b>2.65</b> | <b>2.55</b> | <b>2.40</b> |
|           | 30y Euribor Swap        | 3.44        | 3.15        | 3.15        | 3.05        | 3.05        | 3.05        | 3.00        | 3.00        |
| Japan     | TONA                    | 0.98        | 1.23        | 1.48        | 1.73        | 1.73        | 1.98        | 1.98        | 1.98        |
|           | 2y JGB                  | 1.85        | 1.70        | 1.95        | 2.20        | 2.20        | 2.35        | 2.30        | 2.20        |
|           | 5y JGB                  | 2.28        | 2.15        | 2.40        | 2.65        | 2.65        | 2.75        | 2.65        | 2.55        |
|           | <b>10y JGB</b>          | <b>2.96</b> | <b>2.90</b> | <b>3.00</b> | <b>3.10</b> | <b>3.10</b> | <b>3.15</b> | <b>3.05</b> | <b>2.95</b> |
|           | 30y JGB                 | 4.08        | 3.95        | 4.10        | 4.15        | 4.15        | 4.15        | 4.05        | 3.95        |
|           | 2y Swap                 | 1.85        | 1.75        | 2.03        | 2.28        | 2.28        | 2.40        | 2.35        | 2.25        |
|           | 5y Swap                 | 2.28        | 2.23        | 2.48        | 2.70        | 2.70        | 2.78        | 2.68        | 2.58        |
|           | <b>10y Swap</b>         | <b>2.80</b> | <b>2.75</b> | <b>2.85</b> | <b>3.00</b> | <b>3.00</b> | <b>3.10</b> | <b>3.00</b> | <b>2.93</b> |
|           |                         |             |             |             |             |             |             |             |             |
| U.K.      | 3m Sonia                | 3.82        | 3.80        | 3.75        | 3.75        | 3.75        | 3.60        | 3.50        | 3.50        |
|           | 2y UKT                  | 4.52        | 4.15        | 4.05        | 3.95        | 3.85        | 3.75        | 3.60        | 3.60        |
|           | 5y UKT                  | 4.62        | 4.35        | 4.30        | 4.25        | 4.15        | 4.05        | 4.00        | 3.95        |
|           | <b>10y UKT</b>          | <b>5.13</b> | <b>5.00</b> | <b>5.00</b> | <b>4.85</b> | <b>4.75</b> | <b>4.60</b> | <b>4.50</b> | <b>4.50</b> |
|           | 30y UKT                 | 5.78        | 5.55        | 5.55        | 5.50        | 5.40        | 5.30        | 5.20        | 5.00        |
|           | 2y Sonia Swap           | 4.34        | 4.05        | 3.95        | 3.85        | 3.75        | 3.65        | 3.50        | 3.50        |
|           | 5y Sonia Swap           | 4.44        | 4.10        | 4.05        | 4.00        | 3.90        | 3.80        | 3.75        | 3.70        |
|           | <b>10y Sonia Swap</b>   | <b>4.68</b> | <b>4.50</b> | <b>4.50</b> | <b>4.40</b> | <b>4.30</b> | <b>4.20</b> | <b>4.10</b> | <b>4.10</b> |
|           |                         |             |             |             |             |             |             |             |             |
| Australia | 3m BBSW                 | 4.61        | 4.35        | 4.35        | 4.35        | 4.35        | 4.10        | 3.85        | 3.85        |
|           | 2y ACGB                 | 4.78        | 4.50        | 4.40        | 4.35        | 4.25        | 4.15        | 4.05        | 3.95        |
|           | 5y ACGB                 | 4.80        | 4.50        | 4.45        | 4.4         | 4.35        | 4.3         | 4.25        | 4.2         |
|           | <b>10y ACGB</b>         | <b>5.18</b> | <b>4.80</b> | <b>4.75</b> | <b>4.75</b> | <b>4.70</b> | <b>4.65</b> | <b>4.65</b> | <b>4.60</b> |
|           | 3y Swap                 | 4.74        | 4.60        | 4.50        | 4.45        | 4.35        | 4.25        | 4.15        | 4.05        |
|           | <b>10y Swap</b>         | <b>5.24</b> | <b>4.90</b> | <b>4.85</b> | <b>4.85</b> | <b>4.80</b> | <b>4.75</b> | <b>4.75</b> | <b>4.70</b> |
| Canada    | 2y Govt                 | 3.11        | 3.00        | 3.05        | 3.10        | 3.15        | 3.20        | 3.25        | 3.25        |
|           | 5y Govt                 | 3.42        | 3.30        | 3.40        | 3.45        | 3.50        | 3.55        | 3.60        | 3.75        |
|           | <b>10y Govt</b>         | <b>3.80</b> | <b>3.70</b> | <b>3.75</b> | <b>3.80</b> | <b>3.85</b> | <b>3.90</b> | <b>3.95</b> | <b>4.00</b> |
|           | 2y Swap                 | 3.03        | 2.90        | 2.95        | 3.00        | 3.05        | 3.10        | 3.15        | 3.15        |
|           | 5y Swap                 | 3.29        | 3.15        | 3.25        | 3.30        | 3.35        | 3.40        | 3.45        | 3.60        |
|           | <b>10y Swap</b>         | <b>3.57</b> | <b>3.45</b> | <b>3.50</b> | <b>3.55</b> | <b>3.60</b> | <b>3.65</b> | <b>3.70</b> | <b>3.75</b> |

Source: BofA Global Research

BofA GLOBAL RESEARCH



# Appendix: Common acronyms

## Exhibit 32: Common acronyms/abbreviations

This list is subject to change

| Acronym/Abbreviation | Definition                                              | Acronym/Abbreviation | Definition                                              |
|----------------------|---------------------------------------------------------|----------------------|---------------------------------------------------------|
| ann                  | annualized                                              | IT                   | Italy                                                   |
| APF                  | Asset Purchase Facility                                 | NADEF                | Nota Aggiornamento Documento Economia e Finanza         |
| APP                  | Asset Purchase Programme                                | NFR                  | Net Financing Requirement                               |
| AS                   | Austria                                                 | lhs/LS               | left-hand side                                          |
| BdF                  | Banque de France (Bank of France)                       | MA                   | Moving Average                                          |
| BE                   | Belgium                                                 | MACD                 | Moving average convergence/divergence                   |
| BEA                  | Bureau of Economic Analysis                             | MBM                  | Meeting-by-meeting                                      |
| BLS                  | Bank Lending Survey                                     | mom                  | month-on-month                                          |
| BoE                  | Bank of England                                         | MPC                  | Monetary Policy Committee                               |
| Bol                  | Banca d'Italia (Bank of Italy)                          | MWh                  | Megawatt-hour                                           |
| BoJ                  | Bank of Japan                                           | NBFI                 | Non-bank financial institution                          |
| BoS                  | Banco de España (Bank of Spain)                         | NGEU                 | NextGenerationEU                                        |
| bp                   | basis point                                             | NE                   | Netherlands                                             |
| BTP                  | Buoni Poliennali del Tesoro                             | NRFP                 | National Recovery and Resilience Plan                   |
| Buba                 | Bundesbank                                              | NSA                  | Non-seasonally Adjusted                                 |
| c                    | circa                                                   | NS&I                 | National Savings & Investment                           |
| CA                   | Current Account                                         | OAT                  | Obligations assimilables du Trésor                      |
| CB                   | Central Bank                                            | OBR                  | Office for Budget Responsibility                        |
| CNRF                 | Contingent Non-Bank Financial Institution Repo Facility | OECD                 | Organisation for Economic Co-operation and Development  |
| CPI                  | Consumer Price Index                                    | ONS                  | Office for National Statistics                          |
| CSPP                 | Corporate Sector Purchase Programme                     | OBR                  | Office for Budget Responsibility                        |
| CGNCR                | Central Government Net Cash Requirement                 | p                    | preliminary/flash print                                 |
| GE                   | Germany                                                 | PBoC                 | People's Bank of China                                  |
| DMO                  | Debt Management Office                                  | PEPP                 | Pandemic Emergency Purchase Programme                   |
| DS                   | Debt sustainability                                     | P&I                  | Pension and Insurance                                   |
| DXY                  | US Dollar Index                                         | PMI                  | Purchasing Managers' Index                              |
| EA                   | Euro area                                               | PMRR                 | Preferred Minimum Range of Reserves                     |
| EC                   | European Commission                                     | PPF                  | Pension Protection Fund                                 |
| ECB                  | European Central Bank                                   | PRT                  | Pension Risk Transfer                                   |
| ECJ                  | European Court of Justice                               | PSPP                 | Public Sector Purchase Programme                        |
| EFSF                 | European Financial Stability Facility                   | PT                   | Portugal                                                |
| EGB                  | European Government Bond                                | QE                   | Quantitative Easing                                     |
| EIB                  | European Investment Bank                                | qoq                  | quarter-on-quarter                                      |
| EMOT                 | Economic Mood Tracker                                   | QT                   | Quantitative Tightening                                 |
| EP                   | European Parliament                                     | RBA                  | Reserve Bank of Australia                               |
| SP                   | Spain                                                   | RBNZ                 | Reserve Bank of New Zealand                             |
| ESI                  | Economic Sentiment Indicator                            | rhs/RS               | right-hand side                                         |
| ESM                  | European Stability Mechanism                            | RPI                  | Retail Price Index                                      |
| EU                   | European Union                                          | RRF                  | Recovery and Resilience Facility                        |
| f                    | final print                                             | RSI                  | Relative Strength Index                                 |
| FPC                  | Financial Policy Committee                              | SA                   | Seasonally Adjusted                                     |
| FR                   | France                                                  | SAFE                 | Survey on the access to finance of enterprises          |
| FY                   | Fiscal Year                                             | SMA                  | Survey of Monetary Analysts / Simple moving average     |
| GC                   | Governing Council                                       | SNB                  | Swiss National Bank                                     |
| GDP                  | Gross Domestic Product                                  | SPF                  | Survey of Professional Forecasters                      |
| GNI                  | Gross National Income                                   | STR                  | Short Term Repo                                         |
| GFR                  | Gross Financing Requirement                             | SURE                 | Support to mitigate Unemployment Risks in an Emergency  |
| GR                   | Greece                                                  | TFSME                | Term Funding Scheme with additional incentives for SMEs |
| GSB                  | Green Savings Bond                                      | TLTRO                | Targeted Longer-term Refinancing Operations             |
| HICP                 | Harmonised Index of Consumer Prices                     | TPI                  | Transmission Protection Instrument                      |
| HMT                  | His Majesty's Treasury                                  | TTF                  | Title Transfer Facility                                 |
| IMF                  | International Monetary Fund                             | UST                  | US Treasury                                             |
| INSEE                | National Institute of Statistics and Economic Studies   | WDA                  | Work-day Adjusted                                       |
| IP                   | Industrial Production                                   | yoy                  | year-on-year                                            |
| IR                   | Ireland                                                 | ytd                  | year-to-date                                            |
| IGFR                 | Illustrative Gross Financing Requirement                | DV01                 | Dollar value of a one basis point change in yield       |
| PCA                  | Principal Component Analysis                            | WAM                  | Weighted Average Maturity                               |
| IG                   | Investment Grade                                        |                      |                                                         |

Source: BofA Global Research

BofA GLOBAL RESEARCH





## Options Risk Statement

### Potential Risk at Expiry & Options Limited Duration Risk

Unlike owning or shorting a stock, employing any listed options strategy is by definition governed by a finite duration. The most severe risks associated with general options trading are total loss of capital invested and delivery/assignment risk, all of which can occur in a short period.

### Investor suitability

The use of standardized options and other related derivatives instruments are considered unsuitable for many investors. Investors considering such strategies are encouraged to become familiar with the "Characteristics and Risks of Standardized Options" (an OCC authored white paper on options risks). U.S. investors should consult with a FINRA Registered Options Principal.

For detailed information regarding risks involved with investing in listed options:

<http://www.theocc.com/about/publications/character-risks.jsp>

## Analyst Certification

We, Ralf Preusser, CFA, Agne Stengeryte, CFA, Bruno Braizinha, CFA, Katie Craig, Mark Cabana, CFA, Mark Capleton, Meghan Swiber, CFA, Oliver Levingston, Ralph Axel, Ronald Man, Shusuke Yamada, CFA, Sphia Salim and Tomonobu Yamashita, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.



# Disclosures

## Important Disclosures

### BofA Global Research Credit Opinion Key

BofA Global Research provides recommendations on an issuer's bonds (including corporate and sovereign external debt securities), loans, capital securities, equity preferreds and CDS as described below. Convertible securities are not rated. An issuer level recommendation may also be provided for an issuer as explained below. BofA Global Research credit recommendations are assigned using a three-month time horizon.

**Issuer Recommendations:** If an issuer credit recommendation is provided, it is applicable to bonds and capital securities of the issuer except bonds and capital securities specifically referenced in the report with a different credit recommendation. Where there is no issuer credit recommendation, only individual bonds and capital securities with specific recommendations are covered. Loans, CDS and equity preferreds are rated separately and issuer recommendations do not apply to them.

BofA Global Research credit recommendations are assigned using a three-month time horizon:

**Overweight:** Spreads and/or excess returns are likely to outperform the relevant and comparable market over the next three months.

**Marketweight:** Spreads and/or excess returns are likely to perform in-line with the relevant and comparable market over the next three months.

**Underweight:** Spreads and/or excess returns are likely to underperform the relevant and comparable market over the next three months.

BofA Global Research uses the following rating system with respect to **Credit Default Swaps (CDS)**:

**Buy Protection:** Buy CDS, therefore going short credit risk.

**Neutral:** No purchase or sale of CDS is recommended.

**Sell Protection:** Sell CDS, therefore going long credit risk.

### Corporate Credit Issuer Investment Rating Distribution: Global Group (as of 30 Jun 2026)

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 132   | 38.60%  | Buy                                      | 113   | 85.61%  |
| Hold              | 163   | 47.66%  | Hold                                     | 136   | 83.44%  |
| Sell              | 47    | 13.74%  | Sell                                     | 41    | 87.23%  |

<sup>R1</sup> Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only corporate credit issuer recommendations. A corporate credit issuer rated Overweight is included as a Buy, a corporate credit issuer rated Marketweight is included as a Hold, and a corporate credit issuer rated Underweight is included as a Sell.

BofAS or an affiliate was a manager of a public offering of securities of this issuer within the last 12 months: Austria, Belgium, European Union, Finland, France, Germany, Greece, Italy, Portugal, UK.

The issuer is or was, within the last 12 months, an investment banking client of BofAS and/or one or more of its affiliates: Australia, Austria, Belgium, European Union, Finland, France, Germany, Greece, Ireland, Italy, Japan, Netherlands, New Zealand, Portugal, Spain, UK.

BofAS or an affiliate has received compensation from the issuer for non-investment banking services or products within the past 12 months: Australia, Austria, Belgium, European Union, Finland, France, Germany, Greece, Ireland, Italy, Japan, Netherlands, New Zealand, Portugal, Spain, UK.

The issuer is or was, within the last 12 months, a non-securities business client of BofAS and/or one or more of its affiliates: Australia, Austria, Belgium, European Union, Finland, France, Germany, Ireland, Italy, Japan, Netherlands, New Zealand, Portugal, Spain, UK.

BofAS or an affiliate has received compensation for investment banking services from this issuer within the past 12 months: Australia, Austria, Belgium, European Union, Finland, France, Germany, Greece, Ireland, Italy, Japan, Netherlands, New Zealand, Portugal, Spain, UK.

BofAS or an affiliate expects to receive or intends to seek compensation for investment banking services from this issuer or an affiliate of the issuer within the next three months: Australia, Austria, Belgium, European Union, France, Germany, Italy, Japan, Netherlands, New Zealand, Portugal, Spain, UK.

BofAS or one of its affiliates has a significant financial interest in the fixed income instruments of the issuer. If this report was issued on or after the 15th day of the month, it reflects a significant financial interest on the last day of the previous month. Reports issued before the 15th day of the month reflect a significant financial interest at the end of the second month preceding the report: European Union, France, Netherlands.

BofAS or one of its affiliates trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of this research report: Australia, Austria, Belgium, European Union, Finland, France, Germany, Greece, Ile de France, Ireland, Italy, Japan, Netherlands, New Zealand, Portugal, Spain, UK.

The issuer is or was, within the last 12 months, a securities business client (non-investment banking) of BofAS and/or one or more of its affiliates: Australia, Austria, Belgium, European Union, Finland, France, Germany, Greece, Ireland, Italy, Japan, Netherlands, New Zealand, Portugal, Spain, UK.

Due to the nature of the market for derivative securities, the issuers or securities recommended or discussed in this report are not continuously followed. Accordingly, investors must regard this report as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or securities.

Due to the nature of strategic analysis, the issuers or securities recommended or discussed in this report are not continuously followed. Accordingly, investors must regard this report as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or securities.

BofA Global Research personnel (including the analyst(s) responsible for this report) receive compensation based upon, among other factors, the overall profitability of Bank of America Corporation, including profits derived from investment banking. The analyst(s) responsible for this report may also receive compensation based upon, among other factors, the overall profitability of the Bank's sales and trading businesses relating to the class of securities or financial instruments for which such analyst is responsible.

BofA Securities fixed income analysts regularly interact with sales and trading desk personnel in connection with their research, including to ascertain pricing and liquidity in the fixed income markets.

## Other Important Disclosures

Prices are indicative and for information purposes only. Except as otherwise stated in the report, for any recommendation in relation to an equity security, the price referenced is the publicly traded price of the security as of close of business on the day prior to the date of the report or, if the report is published during intraday trading, the price referenced is indicative of the traded price as of the date and time of the report and in relation to a debt security (including equity preferred and CDS), prices are indicative as of the date and time of the report and are from various sources including BofA Securities trading desks.

The date and time of completion of the production of any recommendation in this report shall be the date and time of dissemination of this report as recorded in the report timestamp.

This report may refer to fixed income securities or other financial instruments that may not be offered or sold in one or more states or jurisdictions, or to certain categories of investors, including retail investors. Readers of this report are advised that any discussion, recommendation or other mention of such instruments is not a solicitation or offer to transact in such instruments. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor for information relating to such instruments.

Rule 144A securities may be offered or sold only to persons in the U.S. who are Qualified Institutional Buyers within the meaning of Rule 144A under the Securities Act of 1933, as amended.



SECURITIES OR OTHER FINANCIAL INSTRUMENTS DISCUSSED HEREIN MAY BE RATED BELOW INVESTMENT GRADE AND SHOULD THEREFORE ONLY BE CONSIDERED FOR INCLUSION IN ACCOUNTS QUALIFIED FOR SPECULATIVE INVESTMENT.

Recipients who are not institutional investors or market professionals should seek the advice of their independent financial advisor before considering information in this report in connection with any investment decision, or for a necessary explanation of its contents.

The securities or other financial instruments discussed in this report may be traded over-the-counter. Retail sales and/or distribution of this report may be made only in states where these instruments are exempt from registration or have been qualified for sale.

Officers of BofA or one or more of its affiliates (other than research analysts) may have a financial interest in securities of the issuer(s) or in related investments.

This report, and the securities or other financial instruments discussed herein, may not be eligible for distribution or sale in all countries or to certain categories of investors, including retail investors.

Refer to [BofA Global Research policies relating to conflicts of interest](#).

**"BofA Securities" includes BofA Securities, Inc. ("BofA") and its affiliates. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor if they have questions concerning this report or concerning the appropriateness of any investment idea described herein for such investor. "BofA Securities" is a global brand for BofA Global Research.**

#### Information relating to Non-US affiliates of BofA Securities and Distribution of Affiliate Research Reports:

BofA and/or Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S") may in the future distribute, information of the following non-US affiliates in the US (short name: legal name, regulator): Merrill Lynch (South Africa): Merrill Lynch South Africa (Pty) Ltd., regulated by the Financial Sector Conduct Authority; MLI (UK): Merrill Lynch International, regulated by the Financial Conduct Authority (FCA) and the Prudential Regulation Authority (PRA); BofA (France): BofA Securities Europe SA is authorized by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers (AMF). BofA Securities Europe SA ("BofA") with registered address at 51, rue La Boétie, 75008 Paris is registered under no 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BofA is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BofA's share capital can be found at [www.bofam.com/BofAEdisclaimer](http://www.bofam.com/BofAEdisclaimer); BofA Europe (Milan): Bank of America Europe Designated Activity Company, Milan Branch, regulated by the Bank of Italy, the European Central Bank (ECB) and the Central Bank of Ireland (CBI); BofA Europe (Frankfurt): Bank of America Europe Designated Activity Company, Frankfurt Branch regulated by BaFin, the ECB and the CBI; BofA Europe (Zurich): Bank of America Europe Designated Activity Company, Zurich Branch, regulated by the Swiss Financial Market Supervisory Authority FINMA, the ECB and CBI; BofA Europe (Madrid): Bank of America Europe Designated Activity Company, Sucursal en España, regulated by the Bank of Spain, the ECB and the CBI; Merrill Lynch (Australia): Merrill Lynch Equities (Australia) Limited, regulated by the Australian Securities and Investments Commission; Merrill Lynch (Hong Kong): Merrill Lynch (Asia Pacific) Limited, regulated by the Hong Kong Securities and Futures Commission (HKSF); Merrill Lynch (Singapore): Merrill Lynch (Singapore) Pte Ltd, regulated by the Monetary Authority of Singapore (MAS); Merrill Lynch (Canada): Merrill Lynch Canada Inc, regulated by the Canadian Investment Regulatory Organization; Merrill Lynch (Mexico): Merrill Lynch Mexico, SA de CV, Casa de Bolsa, regulated by the Comisión Nacional Bancaria y de Valores; BofA Japan: BofA Securities Japan Co., Ltd., regulated by the Financial Services Agency; Merrill Lynch (Seoul): Merrill Lynch International, LLC Seoul Branch, regulated by the Financial Supervisory Service; Merrill Lynch (Taiwan): Merrill Lynch Securities (Taiwan) Ltd., regulated by the Securities and Futures Bureau; BofA India: BofA Securities India Limited, regulated by the Securities and Exchange Board of India (SEBI); Merrill Lynch (Israel): Merrill Lynch Israel Limited, regulated by Israel Securities Authority; Merrill Lynch (DIFC): Merrill Lynch International (DIFC Branch), regulated by the Dubai Financial Services Authority (DFSA); Merrill Lynch (Brazil): Merrill Lynch S.A. Corretora de Títulos e Valores Mobiliários, regulated by Comissão de Valores Mobiliários; Merrill Lynch KSA Company: Merrill Lynch Kingdom of Saudi Arabia Company, regulated by the Capital Market Authority. This information has been approved for publication and is distributed in the United Kingdom (UK) to professional clients and eligible counterparties (as each is defined in the rules of the FCA and the PRA) by MLI (UK), which is authorized by the PRA and regulated by the FCA and the PRA - details about the extent of our regulation by the FCA and PRA are available from us on request; has been approved for publication and is distributed in the European Economic Area (EEA) by BofA (France), which is authorized by the ACPR and regulated by the ACPR and the AMF; has been considered and distributed in Japan by BofA Japan, a registered securities dealer under the Financial Instruments and Exchange Act in Japan, or its permitted affiliates; is issued and distributed in Hong Kong by Merrill Lynch (Hong Kong) which is regulated by HKSF; is issued and distributed in Taiwan by Merrill Lynch (Taiwan); is issued and distributed in India by BofA India; and is issued and distributed in Singapore to institutional investors and/or accredited investors (each as defined under the Financial Advisers Regulations) by Merrill Lynch (Singapore) (Company Registration No 198602883D). Merrill Lynch (Singapore) is regulated by MAS. Merrill Lynch Equities (Australia) Limited (ABN 65 006 276 795), AFS License 235132 (MLEA) distributes this information in Australia only to 'Wholesale' clients as defined by s.761G of the Corporations Act 2001. With the exception of Bank of America N.A., Australia Branch, neither MLEA nor any of its affiliates involved in preparing this information is an Authorised Deposit-Taking Institution under the Banking Act 1959 nor regulated by the Australian Prudential Regulation Authority. No approval is required for publication or distribution of this information in Brazil and its local distribution is by Merrill Lynch (Brazil) in accordance with applicable regulations. Merrill Lynch (DIFC) is authorized and regulated by the DFSA. Information prepared and issued by Merrill Lynch (DIFC) is done so in accordance with the requirements of the DFSA conduct of business rules. BofA Europe (Frankfurt) distributes this information in Germany and is regulated by BaFin, the ECB and the CBI. BofA Securities entities, including BofA Europe and BofA (France), may outsource/delegate the marketing and/or provision of certain research services or aspects of research services to other branches or members of the BofA Securities group. You may be contacted by a different BofA Securities entity acting for and on behalf of your service provider where permitted by applicable law. This does not change your service provider. Please refer to the [Electronic Communications Disclaimers](#) for further information.

This information has been prepared and issued by BofA and/or one or more of its non-US affiliates. The author(s) of this information may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so. BofA and/or MLPF&S is the distributor of this information in the US and accepts full responsibility for information distributed to BofA and/or MLPF&S clients in the US by its non-US affiliates. Any US person receiving this information and wishing to effect any transaction in any security discussed herein should do so through BofA and/or MLPF&S and not such foreign affiliates. Hong Kong recipients of this information should contact Merrill Lynch (Asia Pacific) Limited in respect of any matters relating to dealing in securities or provision of specific advice on securities or any other matters arising from, or in connection with, this information. Singapore recipients of this information should contact Merrill Lynch (Singapore) Pte Ltd in respect of any matters arising from, or in connection with, this information. For clients that are not accredited investors, expert investors or institutional investors Merrill Lynch (Singapore) Pte Ltd accepts full responsibility for the contents of this information distributed to such clients in Singapore.

#### General Investment Related Disclosures:

Taiwan Readers: Neither the information nor any opinion expressed herein constitutes an offer or a solicitation of an offer to transact in any securities or other financial instrument. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or any other person without the express written consent of BofA Securities.

This document provides general information only, and has been prepared for, and is intended for general distribution to, BofA Securities clients. Neither the information nor any opinion expressed constitutes an offer or an invitation to make an offer, to buy or sell any securities or other financial instrument or any derivative related to such securities or instruments (e.g., options, futures, warrants, and contracts for differences). This document is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of, and is not directed to, any specific person(s). This document and its content do not constitute, and should not be considered to constitute, investment advice for purposes of ERISA, the US tax code, the Investment Advisers Act or otherwise. Investors should seek financial advice regarding the appropriateness of investing in financial instruments and implementing investment strategies discussed or recommended in this document and should understand that statements regarding future prospects may not be realized. Any decision to purchase or subscribe for securities in any offering must be based solely on existing public information on such security or the information in the prospectus or other offering document issued in connection with such offering, and not on this document.

Securities and other financial instruments referred to herein, or recommended, offered or sold by BofA Securities, are not insured by the Federal Deposit Insurance Corporation and are not deposits or other obligations of any insured depository institution (including, Bank of America, N.A.). Investments in general and, derivatives, in particular, involve numerous risks, including, among others, market risk, counterparty default risk and liquidity risk. No security, financial instrument or derivative is suitable for all investors. Digital assets are extremely speculative, volatile and are largely unregulated. In some cases, securities and other financial instruments may be difficult to value or sell and reliable information about the value or risks related to the security or financial instrument may be difficult to obtain. Investors should note that income from such securities and other financial instruments, if any, may fluctuate and that price or value of such securities and instruments may rise or fall and, in some cases, investors may lose their entire principal investment. Past performance is not necessarily a guide to future performance. Levels and basis for taxation may change.

BofA Securities is aware that the implementation of the ideas expressed in this report may depend upon an investor's ability to "short" securities or other financial instruments and that such action may be limited by regulations prohibiting or restricting "shortselling" in many jurisdictions. Investors are urged to seek advice regarding the applicability of such regulations prior to executing any short idea contained in this report.

This report may contain a trading idea or recommendation which highlights a specific identified near-term catalyst or event impacting a security, issuer, industry sector or the market generally



that presents a transaction opportunity, but does not have any impact on the analyst's particular "Overweight" or "Underweight" rating (which is based on a three month trade horizon). Trading ideas and recommendations may differ directionally from the analyst's rating on a security or issuer because they reflect the impact of a near-term catalyst or event. Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned in this report. Investors in such securities and instruments effectively assume currency risk.

BofAS or one of its affiliates is a regular issuer of traded financial instruments linked to securities that may have been recommended in this report. BofAS or one of its affiliates may, at any time, hold a trading position (long or short) in the securities and financial instruments discussed in this report.

BofA Securities, through business units other than BofA Global Research, may have issued and may in the future issue trading ideas or recommendations that are inconsistent with, and reach different conclusions from, the information presented herein. Such ideas or recommendations may reflect different time frames, assumptions, views and analytical methods of the persons who prepared them, and BofA Securities is under no obligation to ensure that such other trading ideas or recommendations are brought to the attention of any recipient of this information.

In the event that the recipient received this information pursuant to a contract between the recipient and BofAS for the provision of research services for a separate fee, and in connection therewith BofAS may be deemed to be acting as an investment adviser, such status relates, if at all, solely to the person with whom BofAS has contracted directly and does not extend beyond the delivery of this report (unless otherwise agreed specifically in writing by BofAS). If such recipient uses the services of BofAS in connection with the sale or purchase of a security referred to herein, BofAS may act as principal for its own account or as agent for another person. BofAS is and continues to act solely as a broker-dealer in connection with the execution of any transactions, including transactions in any securities referred to herein.

#### Copyright and General Information:

Copyright 2026 Bank of America Corporation. All rights reserved. iQdatabase® is a registered service mark of Bank of America Corporation. This information is prepared for the use of BofA Securities clients and may not be redistributed, retransmitted or disclosed, in whole or in part, or in any form or manner, without the express written consent of BofA Securities. This document and its content is provided solely for informational purposes and cannot be used for training or developing artificial intelligence (AI) models or as an input in any AI application (collectively, an AI tool). Any attempt to utilize this document or any of its content in connection with an AI tool without explicit written permission from BofA Global Research is strictly prohibited. BofA Global Research utilizes AI, including machine learning and other technologies, to enhance the services we provide to our clients. These technologies assist our analysts in various aspects of their work, including but not limited to data analysis, content extraction, content creation, data aggregation and summarization and identifying relevant information from diverse sources. All AI-driven processes are subject to review by BofA Global Research employees. BofA Global Research information is distributed simultaneously to internal and client websites and other portals by BofA Securities and is not publicly-available material. Any unauthorized use or disclosure is prohibited. Receipt and review of this information constitutes your agreement not to redistribute, retransmit, or disclose to others the contents, opinions, conclusion, or information contained herein (including any investment recommendations, estimates or price targets) without first obtaining express permission from an authorized officer of BofA Securities.

Materials prepared by BofA Global Research personnel are based on public information. Facts and views presented in this material have not been reviewed by, and may not reflect information known to, professionals in other business areas of BofA Securities, including investment banking personnel. BofA Securities has established information barriers between BofA Global Research and certain business groups. As a result, BofA Securities does not disclose certain client relationships with, or compensation received from, such issuers. To the extent this material discusses any legal proceeding or issues, it has not been prepared as nor is it intended to express any legal conclusion, opinion or advice. Investors should consult their own legal advisers as to issues of law relating to the subject matter of this material. BofA Global Research personnel's knowledge of legal proceedings in which any BofA Securities entity and/or its directors, officers and employees may be plaintiffs, defendants, co-defendants or co-plaintiffs with or involving issuers mentioned in this material is based on public information. Facts and views presented in this material that relate to any such proceedings have not been reviewed by, discussed with, and may not reflect information known to, professionals in other business areas of BofA Securities in connection with the legal proceedings or matters relevant to such proceedings.

This information has been prepared independently of any issuer of securities mentioned herein and not in connection with any proposed offering of securities or as agent of any issuer of any securities. None of BofAS any of its affiliates or their research analysts has any authority whatsoever to make any representation or warranty on behalf of the issuer(s). BofA Global Research policy prohibits research personnel from disclosing a recommendation, investment rating, or investment thesis for review by an issuer prior to the publication of a research report containing such rating, recommendation or investment thesis.

Any information relating to sustainability in this material is limited as discussed herein and is not intended to provide a comprehensive view on any sustainability claim with respect to any issuer or security.

Any information relating to the tax status of financial instruments discussed herein is not intended to provide tax advice or to be used by anyone to provide tax advice. Investors are urged to seek tax advice based on their particular circumstances from an independent tax professional.

The information herein (other than disclosure information relating to BofA Securities and its affiliates) was obtained from various sources and we do not guarantee its accuracy. This information may contain links to third-party websites. BofA Securities is not responsible for the content of any third-party website or any linked content contained in a third-party website. Content contained on such third-party websites is not part of this information and is not incorporated by reference. The inclusion of a link does not imply any endorsement by or any affiliation with BofA Securities. Access to any third-party website is at your own risk, and you should always review the terms and privacy policies at third-party websites before submitting any personal information to them. BofA Securities is not responsible for such terms and privacy policies and expressly disclaims any liability for them.

All opinions, projections and estimates constitute the judgment of the author as of the date of publication and are subject to change without notice. Prices also are subject to change without notice. BofA Securities is under no obligation to update this information and BofA Securities ability to publish information on the subject issuer(s) in the future is subject to applicable quiet periods. You should therefore assume that BofA Securities will not update any fact, circumstance or opinion contained herein.

Certain outstanding reports or investment opinions relating to securities, financial instruments and/or issuers may no longer be current. Always refer to the most recent research report relating to an issuer prior to making an investment decision.

In some cases, an issuer may be classified as Restricted or may be Under Review or Extended Review. In each case, investors should consider any investment opinion relating to such issuer (or its security and/or financial instruments) to be suspended or withdrawn and should not rely on the analyses and investment opinion(s) pertaining to such issuer (or its securities and/or financial instruments) nor should the analyses or opinion(s) be considered a solicitation of any kind. Sales persons and financial advisors affiliated with BofAS or any of its affiliates may not solicit purchases of securities or financial instruments that are Restricted or Under Review and may only solicit securities under Extended Review in accordance with firm policies.

Neither BofA Securities nor any officer or employee of BofA Securities accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this information.



# Research Analysts

## Europe

### Ralf Preusser, CFA

Rates Strategist  
MLI (UK)  
[ralf.preusser@bofa.com](mailto:ralf.preusser@bofa.com)

### Sphia Salim

Rates Strategist  
MLI (UK)  
[sphia.salim@bofa.com](mailto:sphia.salim@bofa.com)

### Mark Capleton

Rates Strategist  
MLI (UK)  
[mark.capleton@bofa.com](mailto:mark.capleton@bofa.com)

### Ronald Man

Rates Strategist  
MLI (UK)  
[ronald.man@bofa.com](mailto:ronald.man@bofa.com)

### Agne Stengeryte, CFA

Rates Strategist  
MLI (UK)  
[agne.stengeryte@bofa.com](mailto:agne.stengeryte@bofa.com)

### Nathan Thomas, CFA

Rates Strategist  
MLI (UK)  
[nathan.thomas@bofa.com](mailto:nathan.thomas@bofa.com)

### Edvard Davidsson

Rates Strategist  
MLI (UK)  
[edvard.davidsson@bofa.com](mailto:edvard.davidsson@bofa.com)

## US

### Mark Cabana, CFA

Rates Strategist  
BofAS  
[mark.cabana@bofa.com](mailto:mark.cabana@bofa.com)

### Meghan Swiber, CFA

Rates Strategist  
BofAS  
[meghan.swiber@bofa.com](mailto:meghan.swiber@bofa.com)

### Ralph Axel

Rates Strategist  
BofAS  
[ralph.axel@bofa.com](mailto:ralph.axel@bofa.com)

### Bruno Braizinha, CFA

Rates Strategist  
BofAS  
[bruno.braizinha@bofa.com](mailto:bruno.braizinha@bofa.com)

### Katie Craig

Rates Strategist  
BofAS  
[katie.craig@bofa.com](mailto:katie.craig@bofa.com)

### Eleanor Xiao

Rates Strategist  
BofAS  
[eleanor.xiao@bofa.com](mailto:eleanor.xiao@bofa.com)

### Paul Ciana, CMT

Technical Strategist  
BofAS  
[paul.ciana@bofa.com](mailto:paul.ciana@bofa.com)

### Jonathan Hartley, CMT

Technical Strategist  
BofAS  
[jonathan.a.hartley@bofa.com](mailto:jonathan.a.hartley@bofa.com)

## Pac Rim

### Shusuke Yamada, CFA

FX/Rates Strategist  
BofAS Japan  
[shusuke.yamada@bofa.com](mailto:shusuke.yamada@bofa.com)

### Tomonobu Yamashita

Rates Strategist  
BofAS Japan  
[tomonobu.yamashita@bofa.com](mailto:tomonobu.yamashita@bofa.com)

### Oliver Levingston

FX and Rates Strategist  
Merrill Lynch (Hong Kong)  
[oliver.levingston@bofa.com](mailto:oliver.levingston@bofa.com)

### Isabel Hartstein

FX & Rates Strategist  
Merrill Lynch (Australia)  
[isabel.hartstein@bofa.com](mailto:isabel.hartstein@bofa.com)

Trading ideas and investment strategies discussed herein may give rise to significant risk and are not suitable for all investors. Investors should have experience in relevant markets and the financial resources to absorb any losses arising from applying these ideas or strategies.